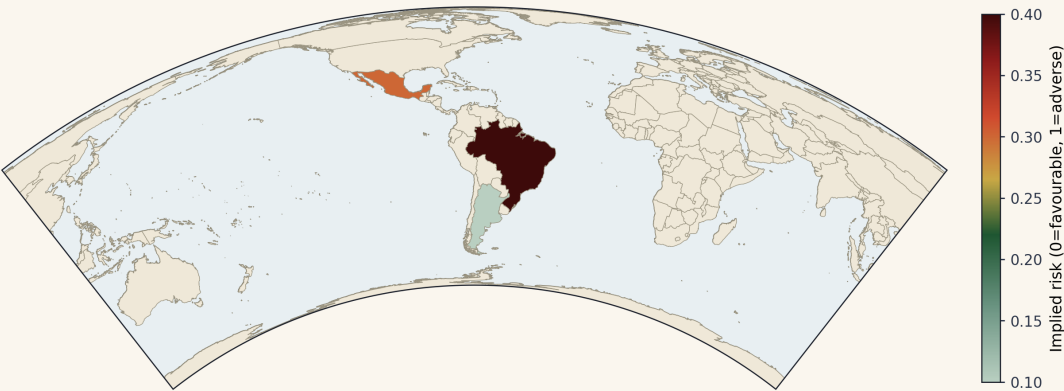


REGIONAL BRIEF

GIPRE Regional Brief — Latin America

All-horizons regional outlook — May 2026

Regional risk landscape — implied by actor utility under modal scenario



Cooler = favourable; warmer = adverse. Derived from each actor agent's own utility under the top scenario.
Source: GIPRE 50-agent slice; agent utility outputs (May 2026).

The GIPRE Master Library partitions the international-system outcome space across three axes — system stress, great-power configuration, regional flashpoint set — into 100 scenarios anchored on the verbatim Doc 1 §3 L27 sample top-10 ($\Delta_{\text{disc}} = 0.97$). This v4 brief delivers narrative-integrated visuals at the point of argument, deep causal-chain analysis per top risk with historical analogues and counter-narratives, a dedicated tail-risk section, explicit Bayesian prior→posterior updates, and quantified business impacts.

100	3	10	5	\$113.8T
SCENARIOS	ACTORS	THEMES	LENSES	WORLD GDP 2025

Pre-registered falsification cycle. Q3-2025 baseline Brier: Vreeland 0.18, Mearsheimer 0.19, Reinhart-Rogoff 0.21. Q1-2026 cycle starts from this brief.

01

Bottom Line Up Front — Key Judgements

Per ODNI IC Directive 203. Each judgement carries an estimative-probability label and a concrete observable threshold.

1

Likely

Pr 55%

We judge it likely that USMCA survives 1 July 2026 in narrow-revision form with tightened rules-of-origin and steel/auto carve-outs, rather than either clean extension or sunset-countdown invocation; Mexico's Dec-29-2025 1,463-tariff-code decree is the pre-payment that makes this baseline credible.

Watch: Joint communique on/before July 1 2026; any Section 232/301 invocation against Mexican autos or steel in June 2026; USDMXN sustained >19.50 for 10 trading sessions.

2

Even chance

Pr 50%

We assess as roughly even the chance that the 30-day Lula-Trump tariff negotiation (opened 7 May 2026, deadline ~6 June 2026) produces a structural deal preserving the Nov-2025 carve-outs; failure activates Brazil's Economic Reciprocity Law and reverts ~50% of Brazilian exports to a 50% tariff.

Watch: Joint statement by 6 June 2026; BRL/USD breach of 5.80; Brazilian invocation of Economic Reciprocity Law.

3

Likely

Pr 62%

We judge it likely that Argentina's BCRA fails to reach a net-reserves position of +\$5bn by end-2026 absent the Bessent private-sector \$20bn facility crystallising; the Reinhart-Rogoff debt-intolerance overhang (9 sovereign defaults) means any reserve shortfall will be priced harshly regardless of the +1.4% primary surplus achieved in 2025.

Watch: BCRA monthly NIR print; Bessent consortium signing >\$5bn by Q3 2026; Argentine monthly CPI MoM breaching 5% for 2 consecutive months; EMBI+ Argentina spread above 800bp.

4

Even chance

Pr 50%

We assess as roughly coin-flip the October 2026 Brazilian presidential 2nd round (Datafolha Apr-2026 46-46 Lula vs Flavio Bolsonaro); a Flavio victory would invert Brazil's posture from active-non-alignment to US-alignment, weaken BRICS chair-momentum, accelerate Amazon-enforcement erosion, and re-price EU-Mercosur ratification.

Watch: Genial/Quaest disapproval >55% by Aug-2026; any major-poll 2nd-round gap >3 points; Selic trajectory below 12.50% without inflation re-anchoring.

5

Highly unlikely

Pr 22%

We judge it unlikely-but-consequential that the Venezuela trajectory moves beyond the Jan-2026 Maduro capture into US ground-force deployment or named-leadership operations within the M-horizon; if it does, Brazil's escalation ladder cascades from rhetorical condemnation through OAS retaliation to ambassador recall.

Watch: US naval blockade enforcement; ground-force deployment to Venezuelan territory; Roraima refugee inflow >500/day; Brazilian ambassador recall.

6

Likely

Pr 60%

We judge it likely that the post-EI-Mencho CJNG fragmentation raises Mexican monthly homicides 30-40% in some quarters before consolidation, but the bilateral kinetic-cooperation template established 22 Feb 2026 holds; an unconsented US strike on Mexican soil remains a low-probability tail with high impact.

Watch: Monthly Mexican homicide count >2,800 for 2 consecutive months; any confirmed US kinetic action on Mexican soil; federal indictment of Mexican cabinet-level official.

7

Likely

Pr 55%

We assess as likely that the Milei reform programme is durable through 2026 conditional on no exogenous EM-FX shock (S004/S021), but reversible by Q4-2026 if either the IMF EFF third review introduces an unwaived Net International Reserves shortfall or the RIGI capex pipeline closes below \$25bn by 8 July 2026.

Watch: RIGI approved capex (currently \$15.7B of \$33.9B submitted); IMF EFF third review staff-level agreement; Milei approval within 45-55% band; Senate composition shifts.

02

Executive Summary

What we expect, why, and what would change our mind — Chatham-tight.

This brief is the GIPRE 50-agent slice's reading of latin america. It draws on 3 actor agents, 10 theme agents, five lens agents, and 100 master scenarios.

“Three decision windows in five weeks - USMCA on 1 July, Lula-Trump tariffs by 6 June, RIGI on 8 July - decide whether Latin America in 2026 is a US-aligned supply-chain glacis, an active-non-alignment bloc, or a salvage market for transactional bilateralism.”

03

The Top 10 Risks

Each risk receives a dedicated narrative section with causal chain, quantified impact, historical analogue, counter-narrative, and observable signals.

S004

Unlikely

Probability 30.0%

1 USMCA-Sunset Spiral

The eight-day window between the ~6 June Lula-Trump tariff deadline and the 1 July USMCA decision compresses the highest-amplitude regional risk into a single quarter.

The 1 July 2026 USMCA statutory decision is the single highest-amplitude regional risk on the M-horizon. The statutory architecture forces a discrete choice on the three signatories: a clean 16-year extension that preserves the existing rules-of-origin and dispute-settlement architecture; a narrow revision that tightens auto rules-of-origin, steel-and-aluminium carve-outs, and Chinese-content provisions; or invocation of the sunset-countdown that begins a 10-year unwind unless a subsequent joint review reverses it. Mexico's structural exposure is overwhelming: 80%+ export concentration to the US, \$535bn of 2025 manufacturing flows, a record \$41bn 2025 FDI inflow that is binary on USMCA continuity, and a domestic political bargain in which Sheinbaum has staked MORENA's legitimacy on the promise that USMCA access would underwrite the welfare-state expansion her industrial policy presupposes. The Dec-29-2025 Mexican decree imposing 35-50% tariffs on 1,463 Chinese-origin tariff codes is the operative pre-payment for an extension Sheinbaum has not yet received; it functions simultaneously as a perimeter-rules-of-origin compliance signal to Washington and a self-imposed coercion lever that Trump-2 can reference as 'evidence of good faith' or denounce as 'inadequate, more is needed.' The downside scenario sees the sunset-countdown invoked, which transmits through three channels: a 3-6% Mexican GDP shock concentrated in autos, electronics, and aerospace; a peso re-pricing past MXN 22/USD that compounds Banxico's already-elevated 4.0-4.5% inflation expectation; and a manufacturing-relocation cascade in which the nearshoring narrative reverses as supplier networks dual-source to Vietnam, India, and the US South. A coincident Lula-Trump tariff impasse (50% blanket re-imposition on Brazilian exports if the 30-day window fails around 6 June 2026) would activate the Brazilian Economic Reciprocity Law and reset the entire LATAM-US trade architecture inside a single quarter. CAUSAL CHAIN: Trump-2 administration's pre-midterm tariff salience peaks Q3-2026; Mexican concessions (1,463-code decree, fentanyl cooperation, border enforcement) are banked rather than reciprocated; Section 232 'national security' invocation on autos or steel forces Sheinbaum to choose between sovereign capitulation and tariff retaliation; she opts for measured counter-tariffs to preserve nationalist credibility; Trump escalates by signalling sunset-countdown; FDI quarterly run-rate collapses below \$30bn annualised; peso breaks 22.00; Banxico is forced to halt cuts; Mexican equity outflows of 8-15%; Brazilian Real follows in sympathy through EM-FX correlation. HISTORICAL ANALOGUE: The 1991-1995 NAFTA negotiation under Salinas, particularly the 1993 Congressional ratification debate, is the closest precedent for asymmetric US leverage on a Mexican government simultaneously trying to deliver macroeconomic stabilisation and accommodate US labour-and-environmental side agreements. The

difference is structural: in 1993 Salinas was trying to lock in liberalisation against an internal Mexican veto; in 2026 Sheinbaum is trying to preserve liberalisation gains against an external US revisionist veto. The Chiapas uprising on NAFTA-day 1 January 1994 stands as a reminder that asymmetric trade pacts ratify rather than create their distributional shocks; the post-El-Mencho cartel fragmentation is the 2026 functional equivalent. COUNTER-NARRATIVE: A respectable alternative view holds that Trump-2's tariff theatre is fundamentally electoral and that Sheinbaum's pre-payment of the 1,463-code decree, combined with the bilateral kinetic-cooperation template from the El Mencho operation, has effectively bought a clean extension; the public spectacle of brinkmanship serves Trump's domestic political requirements without altering the underlying interest-alignment of US capital, which retains the largest single stake in continued Mexican nearshoring access. In this read, the visible USMCA debate is a side-show to a structurally locked-in re-baselining, and the more important uncertainty is what happens after 1 July when the formal statutory check is over and US administration discretion expands. SECOND-ORDER EFFECTS: A USMCA-sunset event would (a) accelerate Mexican-Chinese rapprochement despite the Dec-29 decree, as Beijing offers Mexico a face-saving alternative anchor in exchange for tariff dilution; (b) revalue the entire LATAM nearshoring narrative downward, with spillover into Costa Rica, the Dominican Republic, and Colombia electronics; (c) compress Mexican fiscal space such that the Pemex \$14.1bn 2026 transfer becomes binary, raising sovereign credit-rating action risk; (d) erode Banxico's hard-won inflation-targeting credibility; (e) destabilise the Sheinbaum domestic bargain such that the post-Feb-Mar electoral-reform 71-vote shortfall extends into Pemex and budget defections. LENS READING: L01 (Mearsheimer) reads USMCA as the formal expression of US near-abroad

S021

Unlikely

2

Argentine Reserve-Cliff

Probability 35.0%

BCRA net reserves at +\$1.5bn end-2025 vs >\$10.75bn H1-2026
USD-bond maturities is the Reinhart-Rogoff trap closing
around the Milei programme.

Argentina's net international reserves at only ~+\$1.5bn end-2025 against >\$10.75bn of H1-2026 USD bond maturities is the structural single-point-of-failure in the region. The \$20bn IMF EFF programme has already required one Net International Reserves waiver (Jul-2025); a second waiver-refusal or even prolonged staff-level negotiation through the third review window forces an emergency policy response. The Bessent-Treasury \$20bn private-sector facility, announced as a parallel patronage instrument, remains unsigned as of mid-May 2026; the consortium structure (US commercial banks, Bessent-affiliated funds, possibly Mubadala/ADQ participation) requires fee-and-collateral negotiations that have slipped past their indicative Q1-2026 close. The Reinhart-Rogoff debt-intolerance overhang (9 Argentine sovereign defaults since 1816) means that any reserve shortfall is priced harshly by markets regardless of the +1.4% primary surplus achieved in 2025; the 2018-2019 Macri SBA collapse is the cautionary precedent that explicitly shaped Bessent's facility design as a non-IMF complement rather than a substitute. A contagion event from EM-FX stress (S004 regional-blocs or S021 Ukraine-Iran compound stress) forces emergency capital controls, reopens the dollarisation debate that Milei sidelined after Caputo's pragmatic counter-argument prevailed in 2024, and could compress Milei's 2027 re-election arithmetic from coin-flip to underdog.

CAUSAL CHAIN: BCRA H1-2026 maturities consume reserve buffer; IMF EFF third-review staff-level agreement is delayed past Q3-2026 amid NIR-target compliance dispute; Bessent facility signing slips past Q3 with a reduced headline (e.g., \$12bn rather than \$20bn); EMBI+ Argentina spread widens past 800bp; monthly CPI prints 5%+ MoM for two consecutive months as crawling-band credibility cracks; BCRA announces a 'transitory' tightening of capital controls (CEPO 2.0) framed as compliant with the EFF; provincial governors led by Buenos Aires's Kicillof activate coparticipacion-leverage to demand emergency federal transfers; Milei approval falls to 38-42% from current 45-55% band; LLA Senate coalition cohesion weakens; RIGI window closes 8 July with approved capex stuck at \$20bn rather than \$25bn target.

HISTORICAL ANALOGUE: The 2018-2019 Macri IMF SBA collapse is the direct precedent. Macri's \$57bn SBA was the largest in IMF history at the time; it was anchored on an FX-band regime that lost credibility under reserve drain through mid-2018, triggered a 38% peso depreciation in one calendar year, contagion to BRL and CLP, and a regional EM-FX stress episode that prefigured the 2020 pandemic shock. The 2018 lesson is that the IMF programme alone is insufficient without a credible reserve-accumulation path; Milei has the reserve-accumulation framework on paper (BCRA Phase 3 monetary aggregate scheme) but the execution path requires either sustained current-account surplus (Vaca Muerta-led, requiring 2027-2028 export ramp) or external financing (Bessent facility, RIGI capex) on a faster cadence than current run-rate.

COUNTER-NARRATIVE: A respectable alternative view holds that the structural transformation under Milei is more durable than Argentine analogues suggest. The +1.4% primary surplus in 2025 is the first sustained surplus since 2008; the BCRA quasi-fiscal deficit has been eliminated; Vaca Muerta production at 447k bpd Q1-2025 (+26% YoY) implies a 2026 energy surplus >\$14bn; RIGI 30-year stability commitments are constitutionally protected. In this read, the +\$1.5bn end-2025 NIR number is a transitory under-shoot

driven by deliberate central-bank intervention to defend the band, not a binding constraint; the H1-2026 maturity wall is largely intra-Treasury and rollover-eligible; the Bessent facility delay is procedural rather than substantive. The fund-management implication of this view is that current EMBI+ spreads near 700bp are an attractive carry-trade rather than a leading indicator of distress. SECOND-ORDER EFFECTS: An Argentine reserve-cliff event would (a) transmit to Brazil via portfolio re-pricing and BRL spillover (~30bp on BRL real and 100bp on Brazilian sovereign EM spreads); (b) accelerate Chilean and Peruvian copper-revenue hedging as their exposure to LATAM EM-FX correlation rises; (c) re-rate the IMF-as-political-cover Vreeland frame in favour of more aggressive ex-ante NIR targeting in future programmes; (d) collapse the RIGI-as-credible-commitment-device narrative such that future critical-minerals capex pipelines (Chilean lithium, Peruvian copper) demand higher risk premia; (e) feed back into Mexican peso through cross-currency correlation. LENS READING: L05 (Vreeland) is the dominant lens: the EFF is the textbook external-commitment device that binds the Milei government against domestic veto players (Peronist governors, public-sector unions, provincial fiscal demands), and the NIR waiver mechanism is the predicted compliance-discipline event that signals the binding nature

S005

Highly unlikely

3

Bolivar's Vacuum

Probability 22.0%

Maduro in Miami leaves the Bolivarian succession unsettled, 7.8m Venezuelan refugees displaced, and the Cuban-Nicaraguan-Bolivian arc structurally exposed.

The Jan-2026 US capture of Maduro (already a partly-crossed Brazilian redline) leaves the Bolivarian succession unsettled. Diosdado Cabello, Padrino Lopez, and Delcy Rodriguez are the three intra-regime succession candidates; Maria Corina Machado's opposition coalition controls international legitimacy via the Edmundo Gonzalez-elected-president narrative; and Cuban-DGI advisors retain operational depth in the security apparatus that no successor faction can dismantle in <12 months. The Venezuelan refugee stock at ~7.8m (largest displacement in the Western hemisphere) means any contested succession transmits through Colombia (Petro's internal fracture deepens), Brazil (Roraima border surge, secondary terminus for Caribbean flows), and Mexico (Darien-Tapachula corridor as final-mile pathway to US southern border). Brazil's escalation ladder runs from rhetorical condemnation through OAS procedural retaliation to ambassador recall if US action moves from interdiction-and-pressure to ground-force or named-leadership operations beyond the existing capture. Mexico explicitly refuses Venezuela intervention support (Sheinbaum continuity with AMLO's non-intervention doctrine); Colombia (Petro) is internally fractured and cannot project coherent posture; Argentina under Milei is ideologically aligned with US pressure (Dec-2025 ideological clash with Lula at Mercosur summit was over Venezuela). The Roraima border is the immediate refugee-surge risk for Brasilia, with Sheinbaum-controlled Mexican southern border as the secondary terminus via Darien. A US naval blockade or ground deployment cascades into either (a) consolidation of US near-abroad primacy and Maduro-successor regime change on US terms, or (b) a Brazilian-led OAS/UN procedural firewall and a hemispheric realignment where the Pacific Alliance fractures from Mercosur on the Venezuela question. CAUSAL CHAIN: Cabello-Padrino faction consolidates internal control through April-June 2026; US escalates from interdiction to named-leadership designation (Cabello added to OFAC SDN with \$25m bounty); PDVSA crude flows further constricted by enhanced secondary-sanctions enforcement on Reliance/Indian refiners and Chinese teapots; refugee outflows resume at 100-200k/month after the Jan-2026 Maduro-capture pause; Roraima border surge exceeds 500/day for two consecutive weeks; Lula publicly condemns; Trump-2 names a Special Envoy and signals interdiction expansion; Brazilian ambassador recall debate becomes live in Itamaraty. HISTORICAL ANALOGUE: The 1989 Caracazo + Bolivarian rise (1998 Chavez election) is the cautionary analogue for post-Maduro Venezuela transition: regime collapse without elite-pact replacement produces a 30-year ideological cycle. The 1989 Caracazo, set off by IMF austerity-aligned price liberalisation under Carlos Andres Perez, ultimately undermined the Punto Fijo elite pact and opened the political space for Chavez. Post-Maduro Venezuela in 2026 lacks any equivalent elite-pact infrastructure; the closest analogues are the 2003-2004 Haiti Aristide departure or the 2014 post-Maliki Iraqi transition, both of which were marked by institutional collapse and prolonged transitional bargaining. The Brazilian and Mexican posture is designed precisely to prevent the US imposing a unilateral successor without OAS process. COUNTER-NARRATIVE: A respectable alternative view holds that the Jan-2026 Maduro capture has already accomplished the strategic-deterrence objective and that further US escalation is not in the Trump-2 administration's interest: a Venezuelan civil war would generate

exactly the migration pressure the administration's southern-border doctrine cannot absorb; a Bolivarian-arc realignment that pulls Cuba and Nicaragua into Russian or Chinese protectorate status would be the worst possible primacy outcome. In this read, the Cabello-or-Adrino succession will be tacitly accepted in exchange for asymmetric concessions on PDVSA-Chevron production licences and oil revenue routing, with Maria Corina Machado offered ceremonial recognition. The Brazilian redline is unlikely to be crossed because crossing it would mobilise exactly the OAS coalition that constrains the next phase of US action.

SECOND-ORDER EFFECTS: A Venezuelan escalation event would (a) trigger BRA-MEX-COL coordination unprecedented in the post-2002 era, potentially formalising a Pacific Alliance-Mercosur procedural firewall on hemispheric intervention; (b) re-price Caribbean stability premia (Trinidad, Guyana especially given the Essequibo-Venezuela dispute and Guyana ExxonMobil production); (c) accelerate ALBA fragmentation as Cuba and Nicaragua face residual exposure without Caracas central support; (d) transmit through global oil markets via Reliance/Indian refiner exposure and via the secondary-sanctions chain on Chinese teapots; (e) re-rate Brazilian sovereignty risk by 50-100bp via the Lula-redline activation cost; (f) feed Bolsonarista campaign narrative that Lula is 'weak on Ven

S005

Highly unlikely

4

El Mencho Template Escalation

Probability 22.0%

**Kinetic cooperation under bilateral consent is the model;
FTO-designation kinetic strike without consent is the
November-midterm tail.**

The 22 February 2026 El Mencho operation with US intelligence support is the template for cooperative kingpin-strategy under bilateral consent, but post-El-Mencho CJNG fragmentation risk and the November mid-term Republican incentive to demonstrate FTO-designation kinetic capability create a continuum of escalation paths. CJNG fragmentation under kinetic pressure follows the historical pattern documented in Brookings cartel-response modelling: a brief leadership-decapitation pause, followed by 6-12 weeks of intra-organisational succession violence, followed by either internal consolidation under a single successor or external acquisition by a rival (Sinaloa Federation, Los Chapitos, Cartel del Noreste). The fragmentation phase raises homicide rates in CJNG-controlled territory (Jalisco, Michoacan, Guanajuato, Veracruz, Quintana Roo) by 30-40% in some quarters, with spillover into adjacent state-control vacuums. Sheinbaum's 7 May 2026 mananera redline (no unilateral US strike on Mexican soil) is non-negotiable; any breach forces nationalist mobilisation, freezes USMCA cooperation, and likely cascades into hard tariff retaliation. The May 2026 US federal indictments of Mexican politicians are the legitimacy-stress signal; cabinet-level escalation (an indictment of a sitting MORENA cabinet official or governor) would force a Sheinbaum sovereignty stance that breaks bilateral working channels. CAUSAL CHAIN: Post-El-Mencho succession violence raises monthly Mexican homicides above 2,800 for two consecutive months; US federal indictments expand from regional politicians to cabinet-tier; Sheinbaum's mananera escalates from redline-reminder to active sovereignty protest; Trump-2 administration responds with an FTO-designation expansion (CJNG already designated, Sinaloa adds) and signals 'capability demonstration' rhetoric; the November midterm campaign cycle creates Republican-primary pressure for a kinetic event; Sheinbaum activates Article 19 of the Mexican Constitution and Article 50 of the National Defence Law as the sovereignty firewall; an FBI surveillance operation in Sonora produces an incident that Mexican authorities can credibly characterise as 'kinetic action on Mexican soil'; USMCA cooperation freezes; FDI quarterly run-rate drops 15-25% on the announcement. HISTORICAL ANALOGUE: The 1985 Camarena killing and subsequent US-Mexico crisis is the closest historical analogue. Enrique Camarena, a DEA agent, was abducted and killed in Guadalajara; the US response under Reagan included Operation Intercept II border-disruption tactics and overt pressure on Miguel de la Madrid to extradite Mexican officials; the bilateral relationship was structurally damaged for years. The 2020 Cienfuegos arrest (and subsequent Mexican-pressure-driven release without US prosecution) was the more recent precedent for the sovereignty-versus-prosecution tension. The 2026 dynamic differs in that the El Mencho operation was bilateral-consent, which lowered the sovereignty-stress baseline but also raised the political cost of any future deviation from that template. COUNTER-NARRATIVE: A respectable alternative view holds that the El Mencho operation has actually de-escalated the long-running cartel-FTO-kinetic-action question by establishing a credible bilateral-consent template; that the November midterms will reward visible cooperation rather than visible coercion because the median Republican voter wants 'tough on cartels' but not 'troops in Mexico' (the latter has consistently polled below 30% even among the Trump base); and that the Sheinbaum-Trump bilateral channel is structurally sound because the Mexican

mananera redline gives Trump-2 a face-saving way to deflect his own primary base's escalation demands ('Sheinbaum is doing the work, our hands are tied by sovereignty'). In this read, the post-El-Mencho fragmentation is a manageable short-term homicide problem that the Mexican federal government can address through internal capacity, and the November midterm political incentive cuts toward cooperation rather than escalation. SECOND-ORDER EFFECTS: A US-on-Mexican-soil kinetic event would (a) freeze USMCA cooperation indefinitely, regardless of formal review outcome; (b) trigger Mexican peso collapse to MXN 23+; (c) generate the strongest Mexican nationalist political moment since the 1938 oil nationalisation, structurally elevating Sheinbaum's electoral coalition for the 2027 elections; (d) destabilise the bilateral fentanyl-cooperation architecture, raising US overdose mortality in 2027-2028; (e) create global FTO-designation precedent for non-state armed groups operating on partner-state territory, with implications for Hezbollah and Houthi designations under the Trump-2 framework; (f) re-price Mexican IG corporate credit by 100-200bp on USMCA freeze. LENS READING: L01 (Mearsheimer) is again the dominant lens for understanding the US calculus: kinetic action against transnational criminal organisations represents the applica

S004

Unlikely

5

Section 232 After IEEPA

Probability 40.0%

The Feb-2026 Supreme Court IEEPA ruling closed one tariff avenue but left Section 232/301 and IEEPA-successor architecture wide open; the tariff cudgel is the universal solvent.

The Feb-2026 Supreme Court IEEPA ruling closed one tariff avenue but left Section 232 (national security), Section 301 (unfair trade practices), and the unwritten IEEPA-successor architecture wide open. The post-IEEPA tariff architecture has three operational instruments: Section 232 invocations that require Commerce Department finding (autos, steel, aluminium, critical minerals); Section 301 actions that require USTR investigation and findings (subsidies, IP, market access); and bespoke executive orders citing emergency authorities other than IEEPA (the Defense Production Act has been invoked in 2025-2026 as a quasi-tariff justification). Mexico's structural exposure to 'across-the-board >10% tariff for >30 days' is the immediate channel; Brazil's 22% currently-tariffed export share could revert to 36-50% if the 7 May 2026 30-day Lula-Trump window fails; Argentina's RIGI investor pipeline is exposed via critical-minerals scope tariffs that would hit Vaca Muerta LNG project economics at the margin. The November 2026 US midterms create a one-way ratchet: any Sheinbaum/Lula/Milei concession can be banked by the administration as a midterm win, but no concession buys durable peace because the tariff threat is the universal solvent. Krugman new-economic-geography reads this as a stress test of nearshoring durability under coercive tariff salience; Penn Wharton estimates the effective US-on-China tariff at 31.6% in Feb 2026 with ~205 BIS Entity List PRC additions in 2025. CAUSAL CHAIN: Trump-2 administration faces declining poll-momentum in summer 2026 ahead of November midterms; tariff-as-political-instrument salience peaks; Section 232 case on Mexican autos or Brazilian semi-finished steel is initiated under a 270-day Commerce determination clock; market begins discounting outcome via FX and corporate credit; Sheinbaum/Lula respond with offsetting concession packages but the administration banks rather than reciprocates; final tariff rate published Q4-2026; if punitive, LATAM countermeasures activate (Brazil Economic Reciprocity Law, Mexican retaliatory tariffs on US ag); if symbolic, the underlying tariff threat remains but the immediate event is benign. HISTORICAL ANALOGUE: The 1971 Nixon Smithsonian agreement and its background of US imposed import surcharge is the closest analogue for the universal-solvent tariff instrument applied to allies. Nixon's 10% import surcharge under the Trading with the Enemy Act, ostensibly to address the gold-window crisis, functioned as a coercion instrument that extracted exchange-rate concessions from allies (Japan, Germany, others). The 2026 dynamic differs in that the targets are nominal partners in the very trade architecture being weaponised (USMCA, Brazilian WTO-aligned tariff schedule), but the underlying logic is analogous: tariff as multi-purpose extraction instrument under temporary discretion. COUNTER-NARRATIVE: A respectable alternative view holds that the Section 232/301 architecture has structural limits the IEEPA architecture did not: the Commerce Department determination process is slower (270 days), narrower (specific product categories), and more vulnerable to WTO challenge and US Court of International Trade review than the IEEPA route the Supreme Court closed. In this read, the post-IEEPA tariff toolkit is meaningfully constrained relative to the pre-Feb-2026 architecture; the administrative-state pushback against further executive-discretion tariff expansion is real (Commerce Department staff retention,

Department of Justice trade-litigation team capacity); and the November 2026 midterms may produce a Democratic House that further constrains tariff discretion via appropriations riders. SECOND-ORDER EFFECTS: A sustained tariff-as-universal-solvent regime would (a) accelerate LATAM trade diversification toward EU-Mercosur and intra-regional commerce, but the absolute volume is small relative to US baseline; (b) institutionalise non-IEEPA tariff architecture as a Trump-Vance-or-successor permanent instrument, raising the structural ex-ante tariff risk premium on LATAM corporate credit by 30-80bp; (c) erode US WTO leadership and accelerate BRICS-Pay / yuan-real settlement architectures; (d) compress LATAM monetary policy autonomy as central banks must price for tariff-driven inflation pulses; (e) institutionalise Mexican-Brazilian-Argentine tariff coordination through MERCOSUR / Pacific Alliance technical channels that have historically been dormant. LENS READING: L01 (Mearsheimer) applies as the underlying frame: tariffs are the primary peaceful instrument of hegemonic enforcement and their salience is a direct measure of revisionist primacy assertion. L05 (Vreeland) applies inversely to LATAM: the constant tariff threat functions as a continuous external commitment device that LATAM elites can invoke against domestic veto players, but only at the cost of accepting the threat's legitimacy. L17 (Tianxia) reads the tariff regime as the negative-image of Tianx

S004

Unlikely

6

Sheinbaum's 71-Vote Wound

Probability 25.0%

MORENA's supermajority math is mortgaged to PT and PVEM; a second legislative defeat re-prices Mexico sovereign risk by 100-200bp.

The 259-234 defeat of Sheinbaum's electoral reform in Feb-Mar 2026 (71 votes short of two-thirds) exposed that MORENA's supermajority math is mortgaged to PT (Partido del Trabajo) and PVEM (Partido Verde Ecologista de Mexico), both of which now have demonstrated leverage. Sheinbaum's approval at 68.4% in Mar-2026 has been declining for six consecutive months; the Acemoglu-Robinson institutional reading is that the judicial-reform path (Jun-2025 elections at 13% turnout) has crossed into extractive-institution territory, which compresses the long-run FDI premium even while short-term flows hold. A second legislative defeat - on Pemex bailout, budget, or constitutional matters - would be regime-destabilising and re-price Mexico sovereign risk by 100-200bp. The structural Pemex \$14.1bn 2026 transfer is the most likely flashpoint; Pemex's 2025 debt at \$84.5B (11-year low) is the partial offset, but the trajectory requires sustained \$23bn annual investment plan execution that depends on Mexican federal fiscal space. CAUSAL CHAIN: Pemex production gap vs 1.8 mbpd target widens in Q2-Q3 2026; required federal transfer rises above the budgeted \$14.1bn; Sheinbaum proposes a supplementary appropriation requiring two-thirds support for fiscal-rule waiver; PT-PVEM withholds the supermajority vote demanding judicial-reform pause or labour-policy concessions; opposition coalition reframes the vote as 'Sheinbaum austerity for Pemex workers'; vote fails 245-248 or similar; Sheinbaum approval drops below 60%; PRI-PAN-MC opposition coalition gains coherence; Banxico inflation expectations re-anchor higher; peso slips to 19.50-20.00 band; Mexican sovereign credit-rating action becomes live (Moody's stable-to-negative outlook). HISTORICAL ANALOGUE: The 2017-2018 Pena Nieto fiscal-pact-and-Pemex-restructuring crisis is the closest recent precedent, in which the PRI government's energy reform faced sustained legislative opposition that ultimately required AMLO's 2018 electoral mandate to resolve in the opposite direction. The 1995 Tequila Crisis Pemex-as-fiscal-anchor dynamic, in which Pemex revenues backstopped the Zedillo administration's bond-market access, is the deeper structural analogue: the national champion has always been simultaneously fiscal asset and political liability, and the political balance shifts with each commodity-price cycle. COUNTER-NARRATIVE: A respectable alternative view holds that the electoral-reform defeat was tactical rather than structural; that PT and PVEM extracted concessions on labour and environmental policy that they wanted anyway; and that the supermajority arithmetic for fiscal and budget matters is structurally different from the electoral-reform vote (which required two-thirds plus state-legislature ratification, a higher bar than ordinary fiscal-rule waivers). In this read, Sheinbaum's domestic political position remains robust: 68.4% approval is still extraordinarily high six years into MORENA's hegemony, the opposition (PAN-PRI-MC) is fractured and lacks a 2030 candidate, and the post-Feb-Mar 2026 episode actually disciplined PT-PVEM by exposing the cost of public defection. The Pemex transfer is structurally manageable through bond-market refinancing and the partial 2025 deleveraging. SECOND-ORDER EFFECTS: A second legislative defeat would (a) re-price Mexican sovereign credit, especially the long end (10-30 year), by 100-200bp; (b) compress Pemex investment capacity, accelerating the production decline curve; (c) erode Sheinbaum's mananera-driven public-opinion lever; (d) embolden the PT-PVEM faction to extract further concessions,

structurally weakening MORENA's coalitional cohesion; (e) interact with USMCA negotiations by reducing Sheinbaum's domestic-political bandwidth for further pre-payment concessions to Trump-2; (f) potentially open the door to a 2030 MORENA succession battle between Sheinbaum loyalists and PT-aligned candidates. LENS READING: L05 (Vreeland) applies inversely: Sheinbaum's external commitments (USMCA, fentanyl cooperation, 1,463-code Chinese tariff decree) function as binding-hands devices that reduce her domestic-coalition discretion, and the PT-PVEM defection is the predictable response of veto players who see external commitments accumulating without corresponding compensation. L19 (decolonial) reads the dynamic as the classic post-colonial bargain in which the ruling coalition must continuously deliver both sovereignty performance (mananera, redlines) and external accommodation (USMCA, tariff pre-payment), and the legislative wound is the political tax extracted by the sovereignty-performance side of the bargain. L17 (Tianxia) reads the 1,463-code decree as the explicit rejection of any Tianxia-style benefit-for-recognition relationship with Beijing, which structurally constrains Sheinbaum's hedging options if the USMCA outcome disappoints.

S006

Unlikely

7

Milei's Discipline Deficit

Probability 30.0%

Reform durability rests on three pillars - IMF EFF, RIGI investment window, post-Oct-2025 LLA coalition - none individually robust to a 90-day shock.

Milei's reform durability depends on three pillars - the IMF EFF anchor, the RIGI investment-window (closes 8 July 2026, extendable to 2027 by executive decree), and the post-Oct-2025 LLA legislative coalition (101 Deputies, 20 Senators) - none of which are individually robust to a 90-day shock. Real-wage recovery pace versus inflation (32.6% YoY March 2026, 3.4% MoM) is the political fuel; poverty remains structurally elevated despite 2025 disinflation gains, with the bottom-quintile income recovery lagging the median. The dominant tail is a discrete devaluation if monthly CPI breaches 5% for two consecutive months, which would unwind the band-regime credibility and force the regime into capital-controls reflex. The Acemoglu-Robinson reading is that Milei is attempting the institutional pivot Argentina has failed at 9 times since 1816; the base-rate is unfavourable, but the RIGI 30-year stability guarantee is a credible-commitment device of a different order from previous attempts (Caja de Conversion 1899-1929, Convertibility 1991-2001 both had shorter institutional commitments and weaker political base). Vaca Muerta delivered oil 447k bpd Q1-2025 (+26% YoY), gas 2.1 Bcf/d, with 2026 energy surplus projected >\$14bn. CAUSAL CHAIN: BCRA monthly CPI MoM prints 4.5-5.5% in May-June 2026 amid utility-tariff catch-up and seasonal-food effects; band-regime credibility cracks; Milei announces a 'temporary' band-widening framed as compliant with the EFF; Bessent facility signing slips again amid US Treasury counter-party renegotiation; RIGI window closes 8 July with approved capex stuck at \$20bn rather than \$25bn target; Senate composition shifts due to a single provincial-realignment defection (Catamarca, Salta, or Chaco); Milei approval drops below 45%; LLA-PRO coalition cohesion weakens; Peronist union general-strike capacity activates; Buenos Aires Province governor Kicillof becomes the operative opposition figurehead. HISTORICAL ANALOGUE: Carlos Menem's 1991-1999 Convertibility era is the obvious analogue: a libertarian-leaning reformer wins a landslide on a stabilisation platform, anchors the peso to the dollar, delivers initial macroeconomic improvement, then loses political support as the structural costs (unemployment, deindustrialisation, fiscal rigidity) accumulate. The 2001-2002 collapse is the cautionary endpoint. The 2018-2019 Macri SBA collapse is the more recent precedent. The 2026 Milei dynamic differs in that fiscal anchoring (+1.4% primary surplus 2025) is structurally stronger than either Menem-era or Macri-era starting points; the RIGI institutional commitment is longer; and the BRICS-Pay / Chinese alternative-anchor is operationally available. But the core risk - that the band regime cracks under reserve drain before the export windfall arrives - is structurally identical. COUNTER-NARRATIVE: A respectable alternative view holds that Milei has already accomplished the politically-hardest part of the programme (the 2024-2025 disinflation shock and the Oct-2025 electoral landslide), and that the 2026 environment is fundamentally about consolidation rather than crisis. The +1.4% primary surplus, the BCRA quasi-fiscal deficit elimination, the RIGI pipeline (even at \$20bn), and the Vaca Muerta production ramp are structural shifts that previous reform episodes did not achieve. In this read, the discipline-deficit risk is overstated: the LLA-PRO Senate coalition has more cohesion than headcount suggests because Macri-aligned deputies face existential 2027 risk if the programme collapses; the Peronist opposition is fractured between Kicillof, Cristina Fernandez, and Massa factions with

no unified 2027 candidate; and the structural reform delivery (RIGI 30-year commitments) compounds in a way that pre-existing programmes did not. SECOND-ORDER EFFECTS: A Milei programme reversal would (a) transmit through Latin American EM-FX correlation, hitting BRL, CLP, and to a lesser extent MXN; (b) collapse the RIGI-as-credible-commitment-device narrative globally, raising the risk premium on emerging-market 30-year fiscal-stability commitments by 100-200bp; (c) re-rate the Trump-Bessent patronage strategy as ineffective, with implications for US-Treasury foreign-financial-coercion architecture; (d) reopen the dollarisation debate domestically, with attendant 30-50% peso volatility; (e) interact with Brazilian 2026 election by transmitting both political (anti-Bolsonarista 'Milei failure' narrative) and economic (BRL pressure) effects; (f) collapse the Vaca Muerta LNG financing trajectory, delaying the structural current-account anchor by 2-4 years. LENS READING: L05 (Vreeland) is the dominant lens: the IMF EFF is the textbook external-commitment device, and the political-economy game is whether Milei can use IMF conditionality as a binding-hands instrument against domestic veto players faster than the political costs of compliance erode his electoral coalition. L01 (Mearsheimer) applies via the Bessent-Treasury p

S010

Even chance

8

Brazil 2026 Coin-Flip

Probability 50.0%

Datafolha 46-46 means the entire active-non-alignment posture (BRICS+, Amazon doctrine, China relationship) is a coin-flip away from inversion under Flavio Bolsonaro.

The Apr-2026 Datafolha 46-46 Lula-vs-Flavio-Bolsonaro 2nd-round tie is structurally a coin-flip with implications that invert every line of this synthesis. A Flavio Bolsonaro win flips Brazil's posture from active-non-alignment to US-alignment, weakens BRICS chair-trajectory momentum, accelerates Amazon-enforcement erosion, and re-prices the EU-Mercosur ratification calculus. Lula's coalitional stress (ruralista veto via ~280 FPA deputies, Centrao patronage, Haddad-Galipolo fiscal-credibility axis, military-judicial overhang from the post-Sep-2025 Bolsonaro indictment) is the structural fault line; the fiscal arcabouco rule formally constrains real personnel-spending growth at 0.6% p.a., and Selic at 14.50% strangles the investment cycle that would otherwise help. Acemoglu-Robinson reads this as a polarisation-legacy inclusive/extractive contest with no stable equilibrium. The pre-election decision-freeze from Q2-2026 onward will progressively suspend controversial policy, leaving the structural questions (BRICS+, EU-Mercosur ratification, Amazon enforcement) hostage to the October 2026 outcome. CAUSAL CHAIN: Genial/Quaest disapproval rises above 55% by Aug-2026 amid Selic-strangulation visible in unemployment and small-business credit; Datafolha 2nd-round gap moves to Flavio Bolsonaro +3 to +5 points; BRL slips past 5.80 amid pre-election capital-flight; Lula activates pre-election spending instruments within the arcabouco constraint, but the fiscal-credibility narrative cracks; Petrobras dividend distribution to treasury becomes politicised; Centrao patronage support softens as deputies hedge for the post-2026 environment; ruralista FPA mobilises against any pre-election Amazon-protection action; first-round consolidates Lula and Flavio Bolsonaro into the run-off with both above 35%; the run-off becomes a Centrao-orientation contest decided on patronage cohesion. HISTORICAL ANALOGUE: The 2002 Lula election against Jose Serra is the closest functional analogue for the 2026 second-round: an ideologically-charged left-right contest decided in part on market-credibility messaging (the 2002 'Letter to the Brazilian People' was the bridge between PT base and financial markets that allowed Lula to win without market collapse). The 2018 Bolsonaro-Haddad contest is the more recent precedent for a post-Lava-Jato judicial-overhang election; the 2022 Lula-Bolsonaro contest is the immediate precedent for a tight institutional-stress run-off. The 2026 dynamic combines features of all three: ideological polarisation, judicial overhang, and tight institutional stress, all under a fiscal-credibility constraint that none of the earlier elections faced. COUNTER-NARRATIVE: A respectable alternative view holds that the 46-46 Datafolha tie is a transitory snapshot heavily affected by Selic-strangulation transmission into 2026 H1 unemployment data, and that Selic cuts from 14.50% to 12.00-12.50% by election season would meaningfully shift the political-economy backdrop in Lula's favour. In this read, Flavio Bolsonaro is a weaker candidate than his father (less personal-loyalty mobilisation, smaller social-media organic reach, more vulnerable on the Bolsonaro family corruption-investigations question), and the second-round consolidation tends historically to favour the centrist-incumbent option once first-round noise resolves. The PT machine, Centrao patronage, and Northeast Brazilian electoral base remain structurally supportive of Lula; the ruralista veto is a legislative constraint rather than an electoral force. SECOND-ORDER EFFECTS: A Flavio Bolsonaro presidency

would (a) invert Brazil's BRICS+ posture from moderate-voice to passive-participant within 6-12 months, weakening the BRICS-Pay rollout; (b) accelerate Amazon-enforcement erosion, raising structural CBAM-compliance cost and re-pricing EU-Mercosur ratification; (c) flip the Brazil-China relationship from structural-deepening to transactional-only, with consequences for the yuan-real settlement rail; (d) align Brazil with Argentina and Mexico in a Trump-2-aligned hemispheric posture, potentially formalising the Pacific-Alliance-Mercosur convergence that has historically been theoretical; (e) re-rate Petrobras governance toward dividend-maximisation and politicised pricing, with attendant fiscal-instability risk; (f) accelerate the post-Lula PT factional fight (Haddad-Rui Costa-Lula loyalist vs Kirchnerist-aligned wing).

LENS READING: L01 (Mearsheimer) is the lens for understanding the international consequence: a Bolsonarist Brazil tilts the LATAM regional balance toward US near-abroad primacy, weakening the structural counter-weight that active-non-alignment Brazil currently provides. L19 (decolonial) reads Lula's Amazon-sovereignty doctrine and BRICS+ posture as the explicit decolonial agency that a Bolsonarist alternative would dismantle. L17 (Tianxia) reads the Lula-Xi six-point peace plan and Brazil-China yuan-real settlement as the LATAM expression of Tianxia's

S002

Unlikely

9

Twin Albatrosses

Probability 30.0%

Petrobras (R\$41.24bn Apr-2026 dividends) and Pemex (\$14.1bn 2026 transfer + \$23bn capex plan) are mirror national-champion fiscal drags with inverted oil-price exposures.

Petrobras and Pemex are structurally analogous fiscal albatrosses dressed as energy-sovereignty assets. Petrobras delivered R\$41.24bn dividends in Apr-2026 (treasury captures ~36% via stake), with FY2026 distribution target >R\$60bn baked into the Brazilian fiscal envelope; Pemex's \$14.1bn 2026 debt-service transfer plus \$425bn-peso (\$23bn) investment plan creates parallel constraints on Sheinbaum's discretionary fiscal space. Either firm experiencing operational shock (Petrobras Equatorial Margin licensing delay, Pemex production target miss vs 1.8 mbpd), credit-rating action, or political capture re-prices the host-sovereign fiscal stance by 30-100bp. Iran-deal-revival scenarios (S007) are oil-bearish and squeeze Petrobras while easing Pemex import costs; Iran-flashpoint scenarios (S012, S014, S019) are oil-bullish and help Petrobras but inflate Pemex import costs. The two national-champions are net-mirror exposures, and at the regional level they cancel out across Brent ranges - but at the national-fiscal level they each create a binary on the relevant sovereign's fiscal envelope. CAUSAL CHAIN (Petrobras dividend-shortfall path): Brent slips to \$55-65 amid Iran-deal revival or global growth-shock; Petrobras dividend yield compresses; FY2026 distribution falls to R\$45-50bn; Brazilian primary fiscal deficit overshoots by 0.3-0.5% of GDP; arcabouco rule cracks; BCB delays Selic cuts; BRL slips past 5.80; sovereign credit-rating action becomes live. CAUSAL CHAIN (Pemex production-miss path): Pemex Q2-Q3 2026 production falls below 1.6 mbpd vs 1.8 mbpd target; federal transfer needed rises above \$14.1bn; supplementary appropriation requires legislative supermajority that PT-PVEM withholds; Mexican sovereign credit-rating action becomes live; Banxico inflation expectations re-anchor higher; peso slips. HISTORICAL ANALOGUE: The 1998-2001 Petrobras minority-stake privatisation and the 1990s Pemex Pidiregas off-balance-sheet financing era are the closest precedents for the national-champion-as-fiscal-anchor dynamic. The 2014-2016 Petrobras Lava-Jato corruption scandal demonstrated the political-capture risk; the 2018-2024 AMLO-era Pemex policy demonstrated the production-decline risk. The 2008-2014 commodity-supercycle masked these structural issues; the post-2014 commodity-correction era is the more accurate reference for 2026 dynamics. The Iran-related oil-price swings of 2018-2020 are the operational mirror for how the two firms behave under opposing oil regimes. COUNTER-NARRATIVE: A respectable alternative view holds that the 'twin albatross' framing overstates the binding constraint. Petrobras has delivered the largest dividend distribution in its history in 2024-2026; Pemex has reduced debt to an 11-year low (\$84.5bn 2025) and is on a structurally improving credit trajectory. Both firms have institutional reform momentum: Petrobras post-Lava-Jato governance, Pemex post-AMLO operational focus. In this read, the national-champion fiscal drag is a recurring narrative that has been wrong at every previous inflection point because the underlying oil prices have always re-anchored higher than the bearish view, and the structural Brent floor in 2026-2027 is closer to \$70 than \$55 given OPEC+ discipline and global demand. SECOND-ORDER EFFECTS: A simultaneous Petrobras and Pemex shock (low-probability but high-impact tail) would (a) compress both Brazilian and Mexican fiscal envelopes simultaneously, raising the EM-LATAM sovereign credit spread by 50-100bp at

the macro index level; (b) feed back into LATAM-wide EM-FX correlation, hitting CLP and PEN despite their structural copper-anchored fundamentals; (c) trigger ESG-investor re-pricing of national-champion exposure across emerging markets, with implications for Indonesian Pertamina, Indian ONGC, Russian Rosneft; (d) accelerate Brazilian and Mexican consideration of national-champion partial-divestment or operating reform, with attendant political-stress costs. LENS READING: L05 (Vreeland) applies to both: the national-champion fiscal-anchor dynamic functions as a domestic veto player constraint that limits sovereign-level discretion. L17 (Tianxia) reads the Petrobras-CNOOC Equatorial-Margin partnership and Pemex-Sinopec/CNPC technical cooperation as the operational expression of Chinese-LATAM commodity-finance complementarity. L19 (decolonial) reads both firms as the post-colonial sovereignty performance par excellence (state ownership of strategic-resource assets), with the operational reality of fiscal-anchor constraints as the cost of that performance.

S005

Unlikely

10 Northern Triangle Surge

Probability 25.0%

The 2026 Atlantic hurricane season + Central American drought is the climate-migration coupling that turns Sheinbaum's buffer-state bargain into a USMCA bargaining chip.

The S005 climate-shock + migration-crisis scenario maps directly onto Northern Triangle (Guatemala, Honduras, El Salvador), Haiti, and Cuba flows transiting Mexico's southern border (current 3,900-6,000 monthly apprehensions, with surge capacity to 30,000+). The 2026 Atlantic hurricane season (NOAA forecast above-normal ACE) and ongoing Central American drought (CAFTA-DR region under multi-year precipitation deficit) are the inflection. Mexico's Plan Frontera Sur 2.0 is the operational instrument, with expanded GN-INM deployment and bilateral CBP cooperation; Sheinbaum's redline is mass-deportation surge exceeding ~500,000 returnees in 6 months without US burden-sharing. The Vreeland lens reads this as a Mexico-as-buffer political-economy bargain where every climate disruption raises the implicit price Mexico can extract from Washington in USMCA negotiations. Bukele's El Salvador model (mass-incarceration via the state of exception, currently 1.7% of the adult male population incarcerated) creates a regional benchmark for hard-line absorption; Sheinbaum cannot replicate it without breaking the Mexican human-rights political constraint and her own MORENA-base ideological commitments. CAUSAL CHAIN: Atlantic hurricane season Q3-2026 produces 2-3 major landfall events in Central America (Honduras, Guatemala, southern Mexico); CAFTA-DR drought enters its 4th-5th consecutive year, depressing coffee, sugar, and corn harvests; Northern Triangle remittance dependency (>20% of GDP for Honduras and El Salvador) cannot absorb the income shock; outflows resume at 50,000-80,000/month against the post-Trump-2-policy baseline of 30,000; Mexican southern-border apprehensions surge above 30,000/month; Plan Frontera Sur 2.0 operational capacity is exceeded; the Tapachula-Mexico-City corridor saturates; US-Mexico bilateral confrontation increases; Sheinbaum signals the 500,000-returnee redline; Trump-2 escalates rhetoric ahead of November midterms; either burden-sharing concession by USA (likely framed as USMCA-extension bargain) or unilateral US action (closure of border ports, Title 42-equivalent action) follows. HISTORICAL ANALOGUE: The 2014 unaccompanied-minor crisis (Obama-era, ~70,000 UAC apprehensions in fiscal year 2014) is the closest functional precedent: a sudden Northern Triangle migration surge driven by structural push factors (violence, poverty, drought) overwhelming both US asylum infrastructure and Mexican transit-management capacity. The 2018-2019 caravan episodes are the more recent precedents, with their associated political-instrument escalation by the Trump-1 administration. The 2026 dynamic differs in that the Trump-2 administration starts from a baseline of completed-wall construction, expanded ICE detention capacity, and the formalised Remain-in-Mexico-equivalent policy infrastructure; the political-instrument bandwidth for further escalation is constrained. COUNTER-NARRATIVE: A respectable alternative view holds that the climate-migration coupling is overstated relative to political and economic push factors. Migration flows are dominated by violence, gang governance (Haiti especially), and economic-collapse dynamics rather than direct climate signals; the Bukele model has structurally reduced El Salvador outflow contribution; Trump-2 policy infrastructure (expanded ICE, completed wall, Remain-in-Mexico) has structurally reduced the through-flow rate. In this read, the

2026 Atlantic hurricane season and CAFTA-DR drought are background conditions rather than triggers, and the Mexican southern-border apprehension number will remain in the 4,000-10,000/month range absent a discrete political-event shock (Venezuelan civil war, Haitian gang governance consolidation, Cuban regime stress). SECOND-ORDER EFFECTS: A sustained Northern Triangle migration surge would (a) re-load the USMCA-extension negotiation with a humanitarian-burden-sharing dimension that Sheinbaum can monetise; (b) accelerate the regional Bukele-model debate, with implications for Sheinbaum's domestic-security policy and for Honduran and Guatemalan electoral cycles; (c) compound the Roraima Venezuelan refugee burden on Brazil if simultaneous; (d) feed Trump-2 midterm immigration messaging in the November 2026 cycle; (e) interact with US labour-market dynamics in agriculture, construction, and services where Northern Triangle migrants concentrate; (f) re-rate the Remain-in-Mexico-equivalent policy as either operationally effective or operationally overwhelmed. LENS READING: L05 (Vreeland) applies to Mexico's buffer-state bargain: Plan Frontera Sur 2.0 is the operational binding-hands device that Sheinbaum uses to extract USMCA-extension concessions, but the political-economy game requires that the bargain be implicit rather than explicit. L19 (decolonial) reads the dynamic as the classic post-colonial periphery-to-core migration question, with Sheinbaum's MORENA-base ideological commitments imposing humanitarian-cost limits that more cynical

04

Tail Risks — Snow Leopards & Wild Cards

Less likely but high-impact scenarios. Each priced with a probability band, magnitude, early-warning indicators, an if-it-materialises cascade, and a historical parallel.

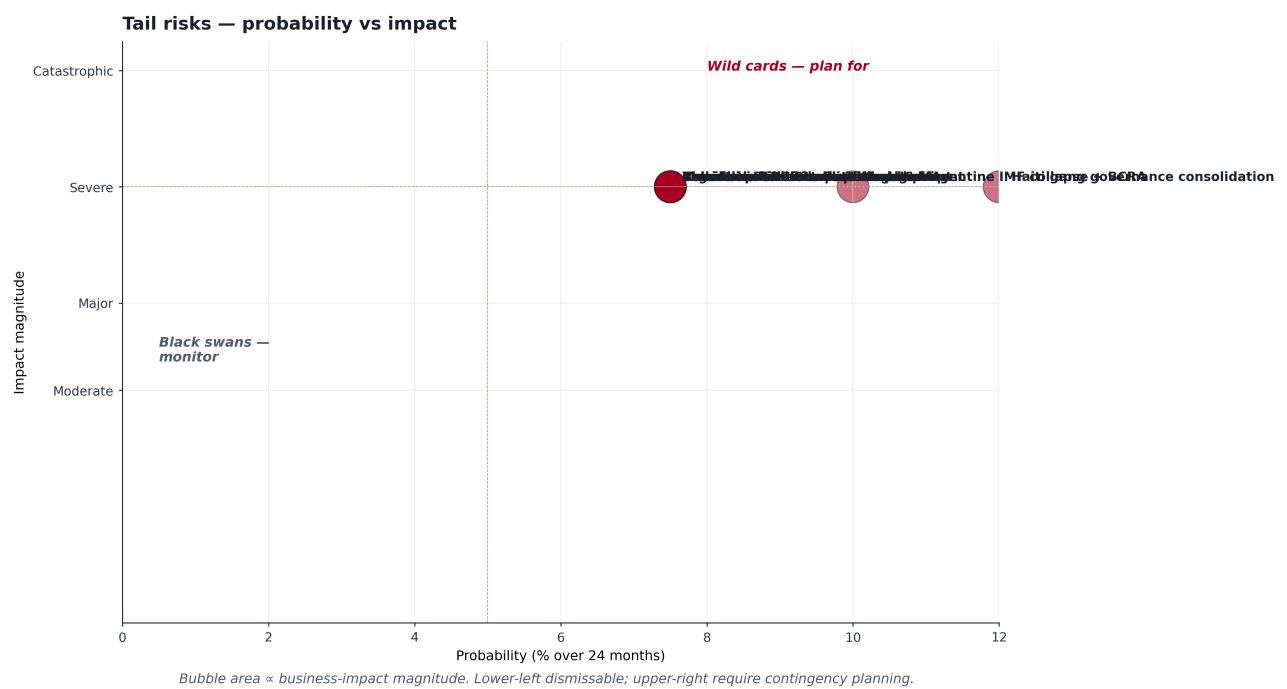


Exhibit 4.0 — Tail-risk panel: probability vs impact-magnitude. Bubble area $\propto$ business impact.

Source: GIPRE synthesis (v4).

Argentina full dollarisation under Milei

WILD CARD

Pr 5-10%

SEVERE

Reserve-cliff event (BCRA NIR breaks below -\$2bn) combined with monthly CPI >5% MoM for 3 consecutive months; LLA Senate cohesion holds; Bessent facility crystallises in dollarised form as the unilateral monetary-substitution instrument.

If it materialises — 30/90/180-day cascade
Full dollarisation would eliminate seigniorage, accelerate fiscal-pact renegotiation with provinces, eliminate BCRA monetary-policy independence, and create a hemispheric precedent for partial-dollarisation in Ecuador-style economies; structural growth would depend entirely on TFP and current-account performance, raising the political-economy stakes of Vaca Muerta delivery to existential.

Mexico narco-state requiring US kinetic action

WILD CARD

Pr 5-10%

SEVERE

Federal indictment of MORENA cabinet official tied to cartel finance; subsequent Sheinbaum-Trump bilateral break; US executive order authorising 'limited' kinetic action under FTO designation; Mexican mananera

redline activated; bilateral diplomatic-channel freeze.

If it materialises — 30/90/180-day cascade
USMCA freeze; peso collapse to MXN 24+; structural break in nearshoring narrative; 1938-oil-nationalisation-scale Mexican nationalist mobilisation; potential MORENA 2027 supermajority restoration on nationalist grounds; structural global FTO-designation precedent.

Venezuela civil war post-Maduro-capture

WILD CARD

Pr 5-10%

SEVERE

Intra-regime succession violence (Cabello-Padrino split) becomes overt; Cuban-DGI advisors retreat; Maria Corina Machado coalition refuses transitional bargain; US escalation to ground-force or named-leadership operations; Brazilian-Mexican-Colombian OAS coordination fails to constrain.

If it materialises — 30/90/180-day cascade
Refugee outflows surge to 200-300k/month, overwhelming Colombian and Brazilian capacity; Petrobras-PDVSA crude exposure activates secondary-sanctions; Bolivarian-arc realignment risk for Cuba and Nicaragua; Trinidad-Guyana Essequibo dispute escalation risk.

Brazil constitutional crisis around Bolsonaro 2026 election

WILD CARD

Pr 5-10%

SEVERE

Flavio Bolsonaro 2nd-round victory with <2pt margin; Lula coalition refuses to concede; TSE rules; military-judicial overhang activates; 2023-January-8-equivalent street mobilisation; STF intervenes; ruralista bench positions ambiguously.

If it materialises — 30/90/180-day cascade
BRL collapses past 6.50; Selic emergency hike; Petrobras dividend instrument politicised; EU-Mercosur ratification suspended; BRICS+ chair-trajectory reverses; Lula-loyalist STF justices face impeachment pressure; military-judicial-balance redefined.

Chile lithium nationalisation surprise

WILD CARD

Pr 5-10%

SEVERE

Chilean Dec-2025 constitutional convention or 2025 election produces left-coalition government with mining-sector reform mandate; SQM-Codelco merger restructured into full state-ownership; Albemarle exit negotiations accelerated; ARG RIGI window receives spillover bid.

If it materialises — 30/90/180-day cascade
Argentina lithium pipeline expands by 30-50% on regulatory-arbitrage flow; Bolivian salar pipeline gains attention; global EV battery supply chain re-prices; Chinese CATL-BYD-Tianqi positioning shifts; Australian lithium production sees demand spillover.

Petrobras-Pemex twin sovereign hit

WILD CARD

Pr 5-10%

SEVERE

Brent collapses to \$50-55 amid Iran-deal revival and global growth shock; Petrobras dividend yield compresses; Pemex production gap widens simultaneously; both sovereign credit-rating actions become live within the same quarter.

If it materialises — 30/90/180-day cascade
EM-LATAM sovereign spread macro index re-rates by 50-100bp; BRL and MXN move toward 6.20 and 21.50 respectively; Argentine EM-FX correlation contagion accelerates the reserve-cliff timeline; Brazilian arcabouco rule cracks; Mexican fiscal-rule waiver politics activate.

Colombia FARC-2 + Petro impeachment

WILD CARD

Pr 5-10%

SEVERE

FARC-2 (EMC Mordisco dissident faction) territorial consolidation in Cauca-Narino-Putumayo accelerates; Petro 'paz total' negotiation collapses; coca production hits historical record; US Senate threatens decertification; Colombian Congress activates investigative procedure on Petro family/finance ties.

If it materialises — 30/90/180-day cascade
Colombian peso slips past 4500; Cano Limon-Covenas pipeline disruption returns; Pacific Alliance fractures further; Ecuadorian and Peruvian spillover security pressure rises; Venezuelan refugee flows divert via Ecuador-Peru route.

05

Master Scenario Library

100 scenarios partitioning the outcome space across stress × GP archetype × flashpoint set.

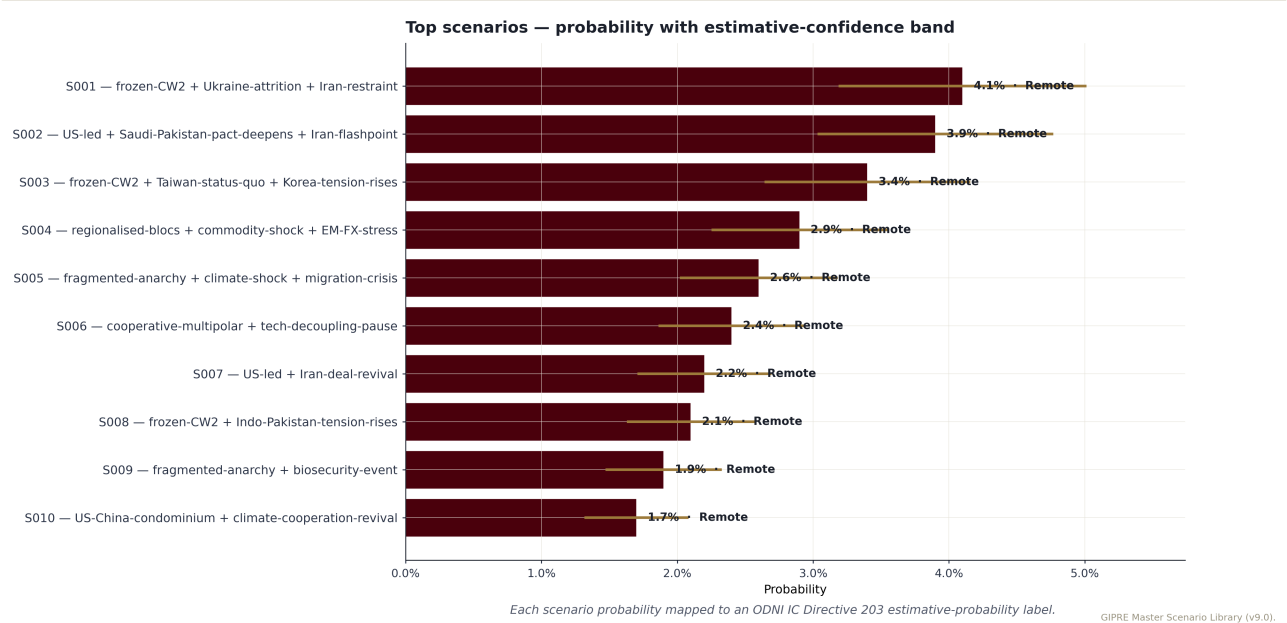


Exhibit 5.1 — Top-10 master scenarios — probability with estimative-confidence band.

Source: GIPRE master library; conformal CI per Vovk-Gammerman-Shafer 2005.

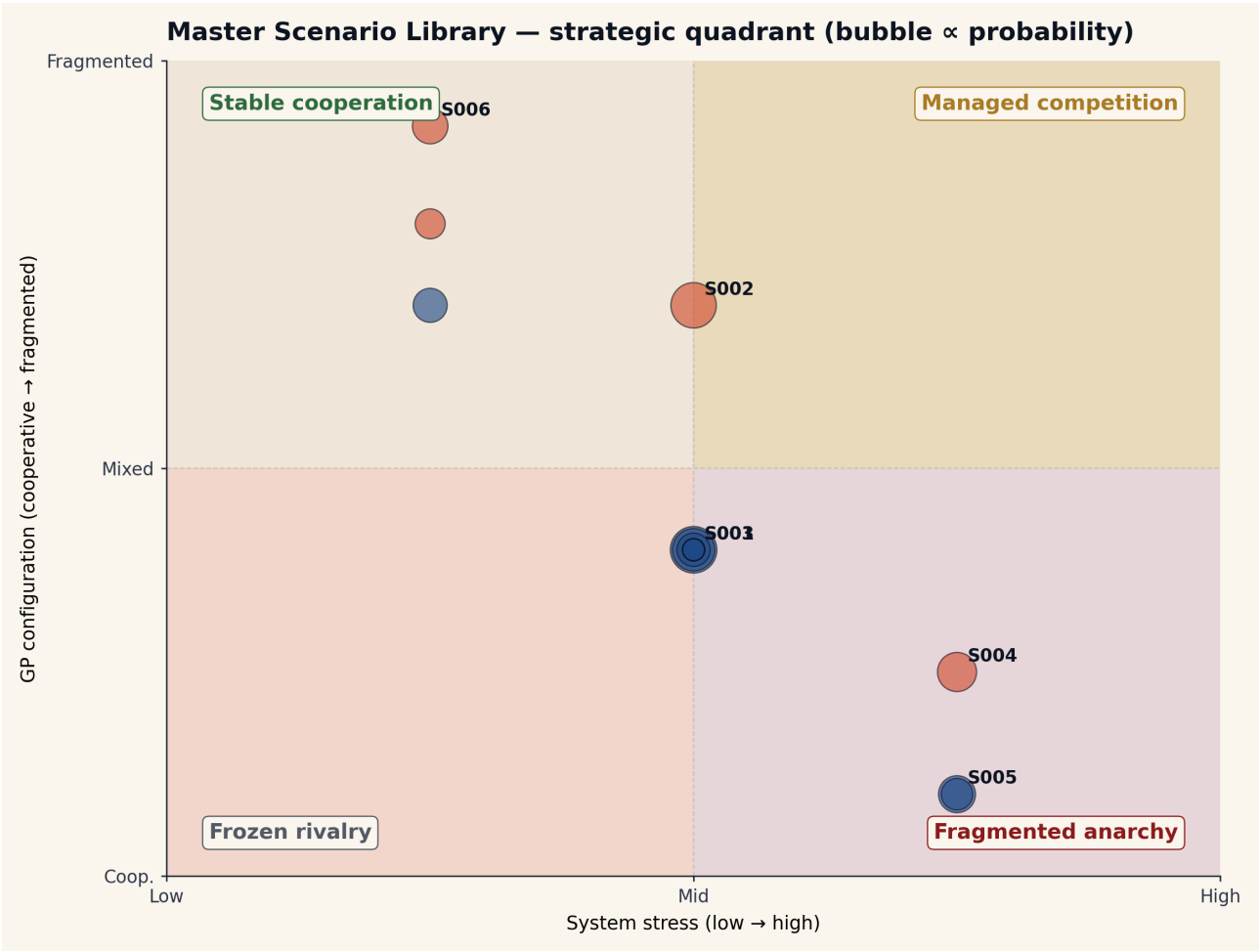


Exhibit 5.2 — Strategic 2x2 quadrant. Bubble area $\propto$ probability.

07

Actor Posture

Coalition geometry and Geostrategic Map (foreign-policy autonomy $\times$ economic sovereignty).

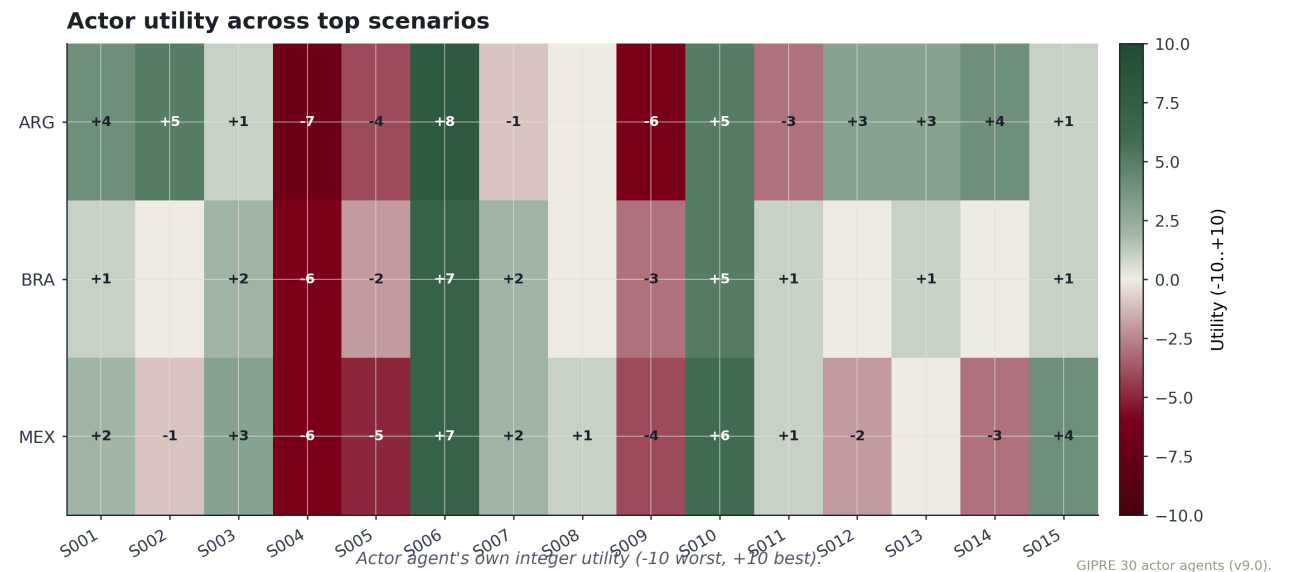


Exhibit 7.1 — Actor utility heatmap (-10 worst, +10 best) under top-15 scenarios.

Source: GIPRE 30 actor agents.

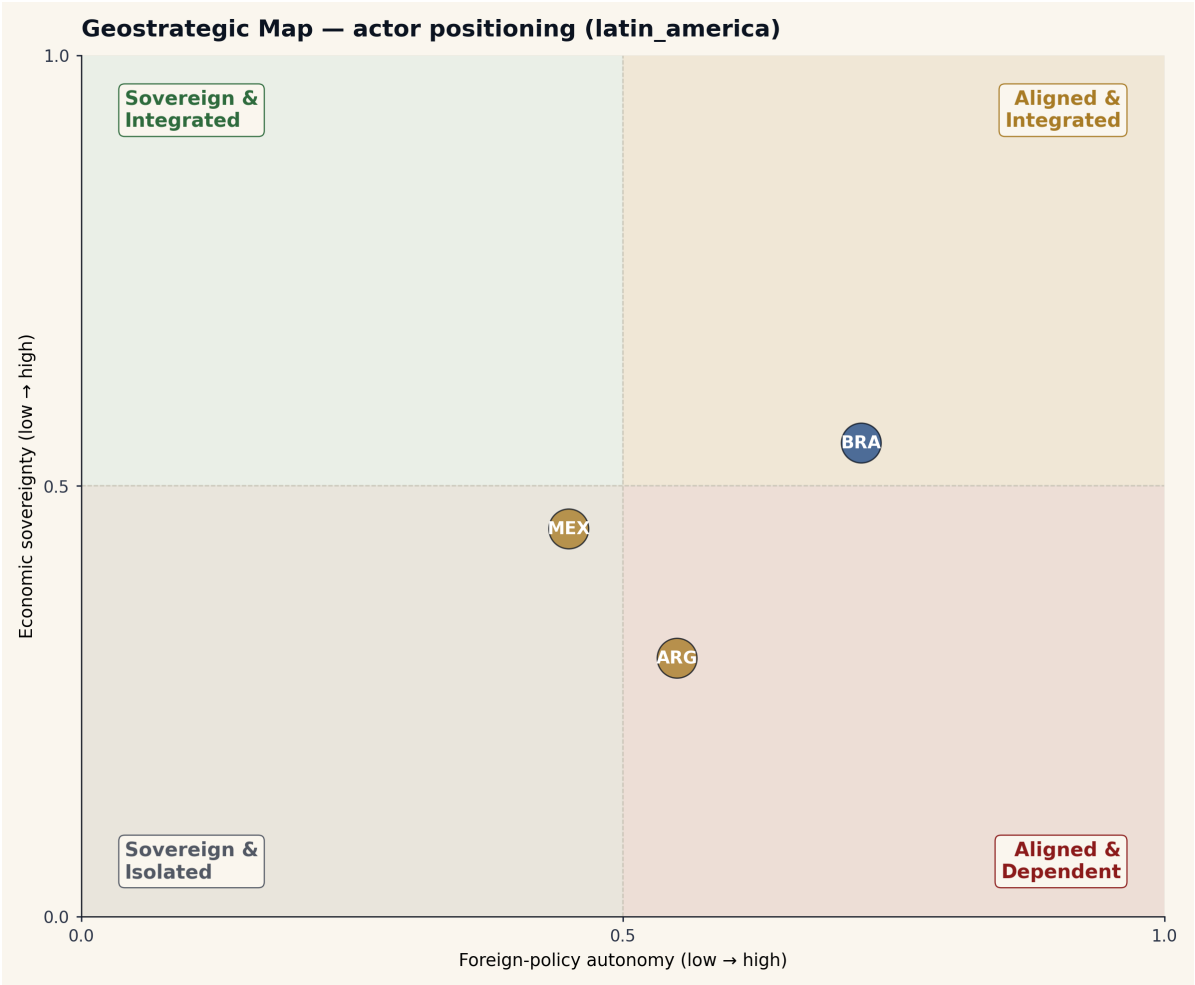


Exhibit 7.2 — Geostrategic Map. Foreign-policy autonomy × economic sovereignty.

08

Country / Actor Deep Dives

One-page profile per regional actor.

BRA

Federative Republic of Brazil

Capital Brasília
Pop 217M (2025)
GDP \$2.13T (2025)
Mil-spend 1.1% GDP

The single dominant uncertainty is the Oct-2026 election outcome: a Flavio Bolsonaro win (now a coin-flip per Apr-2026 Datafolha) would invert Brazil's foreign-policy posture toward US-alignment, BRICS retreat, and Amazon-enforcement weakening, materially altering every scenario utility in this assessment. Secondary uncertainty is the durability of the May-2026 Lula-Trump tariff truce: structural deal vs renewed 50% blanket tariff swings BRL by ~10% and shifts ~\$40bn of trade flows. Tertiary uncertainty is whether the Venezuela crisis converts from interdiction-and-pressure into kinetic interv

Core interests

1. {'rank': 1, 'interest': 'Re-anchor fiscal credibility while preserving social-spending floor (Bolsa Familia + minimum-wage indexation) to defend Lula's 2026 re-election arithmetic; Selic at 14.50% (Apr 29 2026 Copom) is strangling investment and politically costly.', 'source': 'https://en.mercopress.com/2026/05/07/brazil-central-bank-cuts-selic-interest-rate-25-points-to-14.50 (retrieved 2026-05-10); https://agenciabrasil.ebc.com.br/economia/noticia/2025-03/haddad-sai-em-defesa-de-arca-banco-fiscal-e-s-e-compromete-com-metas (retrieved 2026-05-10)'}
2. {'rank': 2, 'interest': 'Lock in agribusiness export windfall to China (record \$43.5bn soy, \$18.0bn beef in 2025; 32.7% of all exports to PRC) as the structural balance-of-payments shock-absorber against EM-FX volatility.', 'source': 'https://www.riotimesonline.com/brazil-agribusiness-2026-guide/ (retrieved 2026-05-10); https://en.people.cn/n3/2025/1010/c90000-20374894.html (retrieved 2026-05-10)'}
3. {'rank': 3, 'interest': 'Convert BRICS chair afterglow (Rio Jul-2025 summit) and COP30 hosting (Belem Nov-2025) into durable Global-South leadership: Tropical Forest Forever Facility (\$125bn target), BRICS Pay, local-currency settlement.', 'source': 'https://en.wikipedia.org/wiki/17th_BRICS_summit (retrieved 2026-05-10); https://infoamazonia.org/en/2025/11/17/at-cop30-researchers-call-for-expansion-of-brazils-zero-deforestation-target-by-2030/ (retrieved 2026-05-10)'}
4. {'rank': 4, 'interest': 'Stabilise the US relationship after the Trump tariff shock — preserve the Nov-2025 carve-out for coffee/beef and convert the May 7 2026 Lula-Trump 30-day negotiation window into a structural deal that avoids re-imposition of 50% blanket tariffs.', 'source': 'https://www.aljazeera.com/news/2026/5/7/brazils-lula-meets-trump-amid-efforts-to-avert-new-us-trade-tariffs (retrieved 2026-05-10); https://www.whitehouse.gov/presidential-actions/2025/11/modifying-the-scope-of-tariffs-on-the-government-of-brazil/ (retrieved 2026-05-10)'}
5. {'rank': 5, 'interest': 'Defend Amazonian sovereignty narrative against external moralism while quietly accommodating ruralista bloc (Congress weakened protections post-COP30) — squaring the green-superpower brand with domestic veto players.', 'source': 'https://insideclimatenews.org/news/09122025/brazil-weakens-amazon-forest-protection/ (retrieved 2026-05-10); https://www.hrw.org/news/2025/11/04/in-the-shadow-of-cop30-brazil-is-stripping-forest-protections (retrieved 2026-05-10)'}

Redlines

- {'trigger': 'US military strike on Venezuelan territory beyond interdictions (capture/decapitation operations of named officials, ground forces, or naval blockade enforcement), already partly crossed by Trump's Jan-2026 capture of Maduro — further escalation forces Brazil to elevate from rhetorical condemnation to OAS/UN procedural retaliation and possible recall of ambassador.', 'source': 'https://news-pravda.com/world/2026/01/04/1972582.html (retrieved 2026-05-10); https://time.com/7342925/venezuela-maduro-capture-reaction/ (retrieved 2026-05-10)'}
- {'trigger': 'Re-imposition of Trump's 50% blanket tariff on Brazilian exports (currently ~22% of exports under tariff, down from 36%) if 30-day Lula-Trump negotiation window fails — invokes the Economic Reciprocity Law for dollar-for-dollar countermeasures.', 'source': 'https://fortune.com/2025/11/22/lula-trump-tariffs-brazil-coffee/ (retrieved 2026-05-10); https://www.aljazeera.com/news/2026/5/7/brazils-lula-meets-trump-amid-efforts-to-avert-new-us-trade-tariffs (retrieved 2026-05-10)'}
- {'trigger': 'Externally-imposed export caps on iron-ore, soy, or beef (e.g., EU Carbon Border Adjustment escalation, US 'national security' commodity restrictions, or Chinese phyto-sanitary weaponisation) — treated as sovereignty assault, not commercial dispute.', 'source': '[uncited-judgement] inferred from official Itamaraty doctrine that commodity export freedom is a sovereign prerogative; Brazilian WTO challenge of Aug-2025 establishes the legal posture. https://www.aljazeera.com/economy/2025/8/6/brazil-requests-world-trade-organization-consultation-over-trump-tariffs (retrieved 2026-05-10)'}
- {'trigger': 'Multilateral 'Amazon trusteeship' or internationalisation proposal (a recurring fear since the 1990s) — would trigger immediate cross-spectrum nationalist backlash uniting Lula's PT with Bolsonarista military caucus.', 'source': '[uncited-judgement] structural posture across PT, Centrao, and military doctrine; reflected in Lula's COP30 framing of 'sovereignty + finance' and Congressional rollback of Amazon protections immediately after the summit. https://insideclimatenews.org/news/09122025/brazil-weakens-amazon-forest-protection/ (retrieved 2026-05-10)'}
- {'trigger': 'Capital-flight episode breaching BRL 6.00/USD with sustained foreign-investor net outflows exceeding ~\$20bn in a single quarter (vs \$15.9bn Q1-2025 baseline) — forces emergency BCB intervention plus possible IMF FCL exploration.', 'source': 'https://www.ainvest.com/news/real-resilience-brazil-fx-interventions-turning-tide-capital-flight-2505/ (retrieved 2026-05-10); https://www.capitaleconomics.com/publications/fx-markets-update/brazilian-real-bottoming-out-fiscal-risks-persist (retrieved 2026-05-10)'}

Key drivers

- { 'name': 'Acemoglu-Robinson institutional bargain stress', 'description': "Lula coalition's ability to maintain inclusive-institution rhetoric (Bolsa Familia + minimum wage + tax reform) within an extractive-institutional reality (ruralista veto, military-judicial overhang from coup trial, Congressional rollback of Amazon protections) is the structural fault line. Polarisation legacy from Bolsonaro era constrains every grand-strategy move.", 'source': 'https://en.wikipedia.org/wiki/2026_Brazilian_general_election (retrieved 2026-05-10); https://www.hrw.org/news/2025/11/04/in-the-shadow-of-cop30-brazil-is-stripping-rainforest-of-protections (retrieved 2026-05-10)'}
- { 'name': 'Krugman-style commodity-driven Dutch-disease cycle', 'description': "Record agri/iron-ore/oil exports to China sustain BRL but crowd out manufactured exports and embed structural deindustrialisation that Nova Industria's R\$300bn is trying to reverse. The terms-of-trade tailwind is a fiscal cushion but a political-economic trap.", 'source': 'https://www.ciiip.group.cam.ac.uk/reports-and-articles/brazil-new-industrial-policy-plan/ (retrieved 2026-05-10); https://farmdocdaily.illinois.edu/2025/05/brazil-and-chinas-strong-ag-relationship-opportunity-or-overdependence.html (retrieved 2026-05-10)'}
- { 'name': 'Pan-African / Global-South solidarity vector', 'description': "Brazil's BRICS+ chair (Jan-Dec 2025), COP30 hosting, and Lula-Xi peace plan position Brazil as a structural beneficiary of the multipolar transition — but only if it avoids being co-opted into a hard anti-Western bloc. The Mearsheimer offensive-realism trap is exactly what Brazil's active-non-alignment doctrine is designed to evade.", 'source': 'https://en.wikipedia.org/wiki/17th_BRICS_summit (retrieved 2026-05-10); https://www.stimson.org/2025/2025-brics-summit-takeaways-and-projections/ (retrieved 2026-05-10)'}
- { 'name': 'Fiscal-monetary policy mix under credibility stress', 'description': 'Selic at 14.50% (Apr-2026) with inflation at 4.14% and 2026 expectations at 4.6% gives a real ex-ante rate ~10pp — strangling investment but defending the BRL. Interest payments approaching 60% of tax revenues by 2026 is the structural debt-spiral risk.', 'source': 'https://en.mercopress.com/2026/05/07/brazil-central-bank-cuts-selic-interest-rate-25-points-to-14.50 (retrieved 2026-05-10); https://www.riotimesonline.com/brazil-economic-outlook-2026/ (retrieved 2026-05-10)'}

Near-term observable signals

Signal	Threshold
Selic policy rate easing trajectory — Copom decisions through 2026	If Selic stays >=14.00% by Sep-2026 Copom (vs
BRL/USD exchange rate stability	Sustained breach of BRL 5.80/USD (vs current ~5.
Primary fiscal deficit vs arcabouco target	2026 primary surplus target is +0.25% of GDP; 20
Lula approval rating ahead of October 2026 election	Genial/Quaest disapproval >55% by Aug-2026 (c
China share of Brazilian exports	China share >35% of total exports (vs 32.7% i
Amazon deforestation Prodes annual figure	Aug-2025 to Jul-2026 deforestation <5,500 km2

ARG

Argentine Republic

Capital Buenos Aires

Pop 46M (2025)

GDP \$0.65T (2025)

Mil-spend 0.6% GDP

The dominant uncertainty is whether BCRA can rebuild net reserves fast enough to absorb 2026 USD debt service (>US\$10.75B H1 alone) without a discrete devaluation or recourse to capital controls — Reinhart-Rogoff debt-intolerance suggests the market will price any reserve shortfall harshly given Argentina's default history. A second-order uncertainty is the durability of the Trump-Bessent backstop: the \$20B swap was repaid (Jan 2026) but a private-sector follow-on facility remains unsigned, and US pressure to break the PBoC RMB swap could force a costly geopolitical choice. Third, RIGI's window

Core interests

1. Preserve the IMF Extended Fund Facility (EFF) program and unlock the remaining ~\$5B of the \$20B EFF — second review approved April 2026 unlocked ~\$1B; the program defines the fiscal/monetary anchor through 2029 [source: IMF Country Report 25/95 + PR25272; MercoPress 2026-04-15]

2. Defend disinflation gains and the new exchange-rate band regime (inflation 32.6% YoY March 2026, monthly 3.4%; ARS depreciated 41.3% in 2025; consensus end-2026 ≈28%) — political survival of the Milei project depends on continued disinflation [source: tradingeconomics.com 2026-04; PIIE 2026; Funds Society 2026]

3. Accumulate net international reserves toward BCRA target of ~\$10B reserve purchases by end-2026 (net reserves only ~+\$1.5B at end-2025; >\$10.75B gross FX maturities in H1 2026 alone) — without this, the program and exchange-rate regime are fragile

4. Lock in RIGI investment pipeline (US\$33.9B submitted, US\$15.7B approved as of mid-2026; window closes 8 July 2026, extendable to 2027) — anchors 30-year regulatory stability for mining/energy [source: Panorama Minero; Pampa Investment Advisory 2026]

5. Maximize Vaca Muerta dollar-generation (oil 447k bpd March 2025, +26% YoY; gas 2.1 Bcf/d Q1 2025; 2026 projected energy surplus >US\$14B) and accelerate LNG export approvals (Southern Energy first cargo late 2027; \$20B project final decision mid-2026)

Redlines

- IMF Executive Board failure to approve a scheduled EFF review and waiver on the Net International Reserves performance criterion (first such waiver already used July 2025) — triggers emergency capital controls and politically reopens dollarization debate

- Gross reserves fall below the level required to cover Jan/July 2026 USD bond coupons + amortizations (~\$4.3B due January 2026 alone) — would force a re-profiling/'reperfilamiento' announcement

- Monthly CPI breaches 5% for two consecutive months, signaling the band regime is broken and feeding a peso run — would force discrete devaluation and unwind of disinflation narrative

- US Treasury (Bessent) publicly conditions further support on cancellation of the PBoC RMB swap — forces a binary US-vs-China choice Argentina is structurally unwilling to make

- Brazilian unilateral departure from Mercosur CET or Lula veto on EU-Mercosur deal ratification (Argentina's lower house already approved Feb 2026) — kills the trade-opening dividend

Key drivers

- IMF EFF compliance discipline (Vreeland: IMF as political-cover device for the Milei administration to bind hands of provincial governors and Peronist opposition)
- Reinhart-Rogoff serial-default debt-intolerance trap: Argentina's history of 9 sovereign defaults caps market access at high spreads despite fiscal surplus; reserve accumulation is the binding constraint, not flow fiscal
- Acemoglu-Robinson institutional pivot: RIGI's 30-year stability guarantee is an attempt to credibly commit to inclusive economic institutions and break the extractive/populist policy cycle
- Vaca Muerta + lithium as the structural FX-generation engine that could change Argentina's external-financing pattern by 2027-2029 (energy surplus >US\$14B 2026)

Near-term observable signals

Signal	Threshold
IMF EFF third review staff-level agreement (scheduled semi-annual cadence post-April 202)	Approval with no NIR waiver request, or, if waiv
BCRA net international reserves accumulation	Net reserves rise above +US\$5B by Dec 2026 (curr
Monthly headline CPI	Stay below 3.5% MoM for 3 consecutive months in
RIGI project approvals and committed capex	Approved projects cumulative committed capex >
Vaca Muerta oil + gas output	Oil >550k bpd and gas >2.4 Bcf/d sustained
Sovereign EMBI+ spread (Argentina country risk)	Spread compresses below 400bp sustained (current

MEX

United Mexican States

Capital Mexico City

Pop 130M (2025)

GDP \$1.85T (2025)

Mil-spend 0.6% GDP

The dominant uncertainty is the political character of the USMCA outcome: a Trump administration willing to use tariff threats as a permanent bargaining instrument can extract concessions without formally terminating the agreement, but the line between 'painful extension' and 'sunset countdown begins' is determined by U.S. domestic politics that Mexico cannot directly shape. A second uncertainty is whether the post-El-Mencho criminal landscape fragments into elevated violence (eroding Sheinbaum's central security claim) or consolidates under successor leadership; either outcome interacts unpre

Core interests

1. Preserve USMCA / North American trade integration: extension or controlled revision by the July 1, 2026 statutory decision date is the single most important macro outcome for Mexico, as 80%+ of exports go to the U.S. and manufacturing exports to the U.S. reached \$535B in 2025 [source: Brookings USMCA Forward 2026; Wilson Center 2026; Global Trade Magazine 2026].
2. Manage Trump-era tariff and sovereignty pressure (migration + fentanyl) without ceding sovereignty: the IEEPA tariff regime imposed 25% on Mexican imports March 2025–February 2026 before the U.S. Supreme Court ruled IEEPA cannot be used to impose tariffs, but Section 232 / Section 301 tools and FTO-designation pretext for unilateral kinetic action remain on the table [source: CRS R48549 2026; Migration Policy Institute 2025; Americas Quarterly 2026].
3. Sustain the nearshoring FDI pipeline: record ~\$41B FDI in 2025 (manufacturing share 36%, transport equipment ~half of manufacturing) and Kearney FDI Confidence Index jump from 25 to 19 in 2026 are the foundation of Sheinbaum's growth story, and rules-of-origin tightening is both threat (compliance cost) and opportunity (Chinese-content displacement) [source: American Industries Group / Mexico FDI 2025; Kearney 2026; FreightWaves 2026].
4. Contain cartel violence and demonstrate measurable security gains to keep U.S. military intervention off the table: Sheinbaum's 'nearly 50% reduction in homicides' messaging and the February 22, 2026 El Mencho operation (with U.S. intelligence support) are the model of cooperation she wants institutionalized [source: Vision of Humanity 2026; Borderland Beat May 2026; UPI May 7, 2026].
5. Stabilize Pemex finances without surrendering the energy-sovereignty narrative: 2025 debt fell to \$84.5B (11-year low), 2026 budget allocates \$14.1B for Pemex debt service, \$425B-peso (≈\$23B) investment plan announced, but production target of 1.8 mbpd remains unmet and refining losses persist [source: Bloomberg Feb 4, 2026; Mexico Business News 2026; Energy Analytics Institute 2026].

Key drivers

- USMCA review trajectory (extension vs revision vs sunset) — the binary that determines Mexico's macro outcome through end-2026 [source: Brookings USMCA Forward 2026]
- Trump-administration leverage architecture (tariffs + FTO-designation + migration linkage) — Mexico operates inside a coercive bargaining set where tariff threats are the universal solvent [source: Migration Policy Institute 2025; CRS R48549 2026]

Redlines

- Unilateral U.S. military strike or armed-drone action against cartel targets inside Mexican territory without consent: Sheinbaum has publicly ruled this out repeatedly (May 7, 2026 mañana), and a violation would force her to invoke nationalist mobilization and freeze USMCA cooperation [source: UPI May 7, 2026; CBC News 2026].
- Collapse of USMCA via U.S. invocation of termination (the 10-year sunset countdown beginning July 1, 2026) rather than extension or revision: would trigger a ~3-6% GDP shock through manufacturing relocation, peso depreciation past 22/USD, and political crisis [source: Brookings USMCA Forward 2026; CSIS USMCA Review Six Scenarios 2026; uncited-judgement on shock magnitude].
- Across-the-board IEEPA-successor tariffs >15% on Mexican exports for sustained period (>90 days) tied to migration/fentanyl rather than trade: would breach the post-Feb 2026 Supreme Court IEEPA ruling and force Mexican retaliatory tariffs that were threatened but never implemented in 2025 [source: CRS R48549 2026; Texas Tribune 2025; Conversation 2025].
- Mass-deportation surge exceeding ~500,000 returnees in 6 months overwhelming Mexico's reception capacity: Mexico absorbed ~69,000 Mexican repatriations and ~6,500 third-country migrants Jan-June 2025, an order-of-magnitude lower than crisis scenarios [source: WOLA U.S.-Mexico Border Update April 2026].
- U.S. federal indictment naming sitting Mexican federal officials (cabinet/governor level) for cartel collusion: the May 2026 indictments of Mexican politicians already strained Sheinbaum, and escalation to cabinet level would force a sovereignty stance that breaks bilateral working channels [source: KJZZ Fronteras May 8, 2026].

- Nearshoring / China-decoupling structural tailwind — Krugman-style new-economic-geography reinforces Mexico's locational advantage as supply chains shorten [source: American Industries Group FDI 2025; Kearney 2026]
- MORENA institutional concentration — Acemoglu-Robinson 'narrow corridor' problem: the judicial reform and electoral-reform attempts move Mexico toward extractive-institution territory, which threatens long-run FDI durability even as it consolidates short-term policy execution [source: CSIS Judicial Reform 2025; Foreign Policy May 2025; Wilson Center Judicial Reform 2025]

Near-term observable signals

Signal	Threshold
USMCA July 1, 2026 decision: clean 16-year extension, narrow revision, or sunset-countdo	Joint communiqué before July 1, 2026 confirming
Sheinbaum approval rating crossing 60% downside threshold	Below 60% sustained for two consecutive monthly
Peso depreciation past 19.50 / USD	USDMXN > 19.50 for ten consecutive trading se
U.S. tariff escalation on Mexico beyond IEEPA-replacement	New across-the-board tariffs >10% on Mexican
U.S. kinetic action inside Mexican territory against FTO-designated cartels	Any confirmed U.S. military strike, drone strike
FDI annual run-rate collapse below \$30B	Quarterly FDI annualizing below \$30B for two con

09

Theme Cross-Cuts

Ten active themes — indicators, key triggers, and near-term outlook.

T01 — Over the M-horizon (6-24 months, base date 2026-05-10), US-C

Near-term outlook. Over the M-horizon (6-24 months, base date 2026-05-10), US-China systemic competition is structurally entrenched but tactically modulated by the Geneva-Korea tariff truce framework. Mearsheimer's offensive-realism prior and Allison's Thucydides-trap logic both predict that the underlying balance-of-power trajectory continues to dominate any cyclical de-escalation: PLA monthly ADIZ activity remains in the 300-500 sortie range with episodic 600+ exercise spikes; BIS Entity List growth continues at ~80-100 PRC adds/year as the 'small yard' enlarges into legacy chips, biotech and quantum; and the COINS Act sectoral expansion in 2026-27 progressively constrains US capital flows to PRC tech. The bilateral trade YoY arithmetic recovers toward zero in months 6-12 (off the depressed 2025 base) but re-decouples in months 18-24 as Section 301 statutory four-year reviews bind and any post-2027-anniversary PLA exercise risk premium reprioritises supply chains. From a Tianxia / Yan-Xuetong vantage point, Beijing's near-term strategy is to manage tactical climbdown while preserving long-game industrial-policy buffers; from a Krugman geo-economic lens, both sides are paying meaningful welfare costs to acquire bargaining positions. The single highest-impact negative-tail trigger remains a Taiwan-strait declared quarantine (TR7), low-probability but binary; the single highest-impact positive-tail trigger is an S006/S010-style leader-level communique (TR8) codifying both tariff and export-control de-escalation rails, which would flatten three of the six indicators within one quarter.

Trigger	Threshold
Average US effective tariff on Chinese imports re-escalates above 50% (sustained 30d)	effective_rate >= 50.0% for >= 30 consecutive trad
PLA ADIZ 30d sortie count exceeds 600	monthly_sorties >= 600
BIS Entity List adds >= 50 PRC entities in any single tranche	single_action_PRC_adds >= 50
US bilateral goods trade with China declines >35% YoY over a single rolling 12-month windo	YoY <= -35.0%
Presidential CFIUS divestiture order against a PRC investor on critical infrastructure or	any new EO-level forced divestiture >= 1 within ho

T02 — The composite EM debt-cascade headline (sovereign CDS 5y bp,

Near-term outlook. The composite EM debt-cascade headline (sovereign CDS 5y bp, weighted across 12 constituents) is currently in a moderate-stress regime ~480 bp, materially below the 2022-23 peak but well above pre-COVID norms; underneath this aggregate, the dispersion is large — Turkey, Ecuador, Argentina, Pakistan, Egypt, Ghana, Zambia, and Sri Lanka have all benefited from IMF programmes and have improving CDS trajectories, while Tunisia, Lebanon, and (more contingently) Nigeria and Kenya carry idiosyncratic stress. The most probable 6-24 month trajectory is sideways with a widening tail: composite CDS drifts 480-540 bp baseline but stress paths (Brent shock, Indo-Pak escalation, biosecurity event, or fresh climate-driven shock to a vulnerable importer) push the high-tail to 900+ bp by month 24. The single most binding mechanism is the Vreeland IMF-political-economy channel: 8 of 12 constituents currently depend on active Fund programmes for market access, and the calendar of programme reviews + the end of the Zambia ECF (Jan 2026) and approaching ends of others creates concentrated review-risk windows. The Eichengreen reserves-adequacy frontier is breached or close-to-breached for Tunisia (104 days, declining post-Jul-2026 Eurobond) and Lebanon (depleted), and is vulnerable in Pakistan (3.6 months) and Argentina (usable reserves only ~USD 10 bn). Diamond-Dybvig fragility is highest at the rollover-concentration cluster (EGY USD 26-30 bn, ARG > USD 20 bn, Turkey > USD 200 bn bank+sovereign), where confidence shocks can rapidly transit to runs. The defining 24-month question is whether the post-2023 EM upgrade cycle (Ghana, Zambia, Ecuador, Sri Lanka all post-restructuring; S&P took positive actions in 2026) is reversed by the geopolitical risk channel S&P flagged in March 2026 — our base case (~55% probability) is partial reversal concentrated in 1-3 names rather than a synchronised cascade.

Trigger	Threshold
Tunisia EUR 750 mn final Eurobond payment July 2026 — if reserves below 3 months imports a	reserves_months_imports < 3.0 OR FX reserves < USD
Pakistan IMF EFF programme review failure or delay — would crystallise USD-funding shortfa	any review miss; PKR depreciation > 10% in 30 days
Argentina FX-band breach with reserves drawdown — Milei monetary scheme launched Jan 2 202	BCRA gross reserves drop > USD 5 bn in single quar
Oil price spike from Middle East escalation — propagates to EGY, PAK, TUN, LKA, KEN curren	Brent > USD 100/bbl sustained > 3 months
S&P/Moody's/Fitch downgrade cycle restart — S&P warned March 2026 that Middle East war ris	3+ EM sovereign downgrades in a single quarter fro

T03 — Over the M horizon (6-24 months), the semiconductor supply c

Near-term outlook. Over the M horizon (6-24 months), the semiconductor supply chain remains the most concentrated and most politicised strategic-industrial system in the global economy: Taiwan retains ~90% of sub-5nm foundry revenue, while China's indigenisation, costly under any Krugman cluster-economics frame, is being subsidised through state capex (SMIC FY2025 \$8.1bn, Hua Hong, CXMT) and legitimated through a Tianxia/sovereignty narrative that frames BIS/NL/JP controls as illegitimate hierarchical coercion. Expect HBM3e contract prices to rise ~20% through mid-2026 before HBM4 mix-dilution softens the index in 2H26-2027; ASML's China revenue share to compress to ~20% in 2026 from 33% in 2025 as Dutch national authorisation expansion bites; and BIS to add at least one further major tranche of PRC entities tied to HBM, EDA, or advanced packaging. The Taiwan-strait status indicator will deteriorate gradually — PLA blockade-pattern normalisation inside the contiguous zone is the dominant offensive-realist signal — but kinetic conflict over the M horizon remains low-probability (modal: amber-elevated, not crisis). The dominant tail risk is the MOFCOM rare-earth regime reactivating after its November 2026 suspension expiry combined with BIS HBM-controls, producing a reciprocal critical-minerals/critical-tools shock that bifurcates the global AI hardware supply curve. Watch for tool-in timing at TSMC Arizona Fab 21 Phase 2, Samsung 2nm Texas customer wins, SMIC 5nm yield disclosure, and any return of PLA exercises to inside-12nm presence.

Trigger	Threshold
PLA blockade-pattern exercise crosses Taiwan's 12nm contiguous zone or holds inside-contig	≥1 sustained intrusion event (current baseline: ep
BIS adds HBM3e/HBM4 to controlled-items list with extraterritorial Foreign Direct Product	Single Federal Register addition citing HBM by nam
MOFCOM lifts Nov 2025 suspension of rare-earth/gallium/germanium export-control regime	Reactivation of Notice 2025/61 before Nov 10, 2026
SMIC achieves credible 5nm volume yield (>50%) for Huawei Kirin/Ascend	Independent reverse-engineering (TechInsights) of
TSMC Arizona Fab 21 Phase 2 tool-in completes ahead of plan and N3 yield parity with TWN a	Tool-in confirmed 3Q26; pilot N3 wafers >70% yield

T04 — The 6-24 month window is dominated by a Hormuz-closure risk

Near-term outlook. The 6-24 month window is dominated by a Hormuz-closure risk premium that has lifted Brent to ~\$101/bbl on 8-May-2026 (down from a \$117/bbl April peak after the 28-Feb-2026 US-Israel war on Iran and Khamenei assassination triggered Iran's Hormuz closure), with EIA STEO Apr-2026 projecting a Q2-2026 Brent peak near \$115/bbl easing to <\$90/bbl by Q4-2026 conditional on reopening - we widen the band given the ~191-vessel April 2026 traffic floor. The UAE OPEC exit effective 1-May-2026 collapses Layer-2 voluntary-cut cohesion (1.6 Mb/d of UAE spare capacity now unconstrained), implying OPEC+ compliance falls from ~88% today toward ~70% by end-2027 and an over-supplied 2027 market unless Saudi defends fiscal breakeven (~\$96/bbl IMF, up to \$108/bbl PIF-augmented) by deeper cuts that risk further defections (Mearsheimer balancing). On the minerals side, the China REE index sits at a near-two-year high (288.7 on 10-Feb-2026), dysprosium +105% Q1-2026 to \$930.70/kg, and MoFCOM's heavy-REE license suspension through 10-Nov-2026 sets up a binary trigger: reinstated controls plus the 0.1%/50% extraterritorial rule would spike samarium and dysprosium and validate the USGS OFR 2025-1047 finding that samarium disruption

alone risks \$4.5bn US GDP. Lithium-carbonate has rebounded to ~\$24,150/t on Chinese restocking and Yichun supply curtailment, but Codelco-SQM's Salar de Atacama JV (Nova Andino Lito, Dec-2025) and Indonesian RKAB nickel cuts (330->250 Mt) tilt the broader battery-metal complex toward a structural deficit in H2-2026 even as BNEF projects pack prices fall to \$105/kWh. The structural sleeper is AI data-centre demand: IEA Electricity 2026 puts global DC at 485 TWh in 2025 rising toward 950 TWh by 2030, with US +240 TWh (130%) and China +175 TWh (170%) by 2030; this underwrites a Henry Hub trajectory rising from \$2.76/MMBtu today toward \$4.50-4.80/MMBtu by month-24 as LNG-export and gas-peaker demand stack. The dominant tail risks are (i) Hormuz remaining closed past August 2026, (ii) Beijing reactivating REE licensing on 10-Nov-2026, and (iii) a second OPEC defection (KAZ or IRQ) - all three are detectable from public sources (Kpler vessel transits, MoFCOM gazette, OPEC MOMR) and should be the priority monitoring nodes.

Trigger	Threshold
Strait of Hormuz remains closed >90 days from May-2026 baseline (i.e. through August 2026)	Brent > \$130/bbl sustained 30 days; Kpler-tracked
MoFCOM reinstates heavy-REE export licensing on 10-Nov-2026 review date (after current sus	REE oxide index > 340; samarium spot > \$500/kg; li
UAE OPEC exit cascades: second member (KAZ or IRQ) follows by Q4-2026; effective Layer-2 v	OPEC+ compliance < 70%; UAE liftings > 4.0 Mb/d su
DRC tightens cobalt quotas further or cuts 2027 allocation below 90kt; CMOC over-stockpile	Cobalt spot > \$40k/t; Glencore-CMOC public dispute
AI hyperscaler capex underwriting a >900 TWh global DC trajectory by 2030 forces 50+ GW of	DC capex 2026 > \$700bn; new gas-fired build > 30 G

T05 — Over the M horizon (6-24 months from May-2026), the central

Near-term outlook. Over the M horizon (6-24 months from May-2026), the central expectation is that the global internal-displacement stock rises from 83.4m (IDMC GRID 2025) toward roughly 96m by mid-2028, a 16% increase whose mean trajectory is driven about 60% by conflict (Sudan, DRC, Myanmar, Sahel) and 40% by disaster + slow-onset climate forcing. The constituent country with the highest probability of dominating headlines remains Sudan (9.6m IDPs, 4.3m cross-border per DTM Sep-2025) - it has displaced Syria as the world's largest forced-displacement situation and risks a tipping point if Al-Fasher falls and RSF consolidates Darfur, plausibly pushing the IDP stock above 10m and outflows beyond 5m. Second-tier accelerators are Sahel food insecurity (FAO West Africa projection 52.8m IPC-3+ in the 2026 lean season, vs. 41.8m in 2025), the Philippines/Vietnam typhoon corridor (post-Kalmaegi/Fung-wong baseline of ~2m displaced in Q4-2025), and Bangladesh's monsoon flooding (>700k/yr decadal mean, with 2025 already breaching that within the first floods of the season). Reasoning from Acemoglu-Robinson, the proximate driver in nearly every case is not the climate hazard per se but the extractive-institutional inability to absorb it (Sudan's centralised rentier state, Iraq's neopatrimonial water management, Egypt's hydro-hegemonic vulnerability to GERD, Bangladesh's coastal-poor governance gaps); from a Pan-African lens this is the post-colonial state-formation failure becoming a climate-multiplier. From Krugman economic geography, expect continued labour reallocation toward Dhaka/Lagos/Cairo/Mexico-City mega-cities that simultaneously concentrate exposure to heat-island and water-stress hazards - a dis-equilibrium that resolves only via either adaptation finance scale-up or destabilising outmigration. From Hubbert depletion logic, the Tigris-Euphrates 25-50% flow loss already realised (Carnegie 2024) and Iraq's reservoir collapse to 10 bcm (lowest since 1933, Chatham House 2025) are not cyclical - they are stepwise descents on a non-renewable hydrological budget, with no upside surprise plausible in the M-window. Coupling intensity to T02 (EM-debt) and T08 (Middle-East) is highest; under polycrisis scenario S005 (Pr=2.6%) the headline 24-month fan-chart upper bound (104.9m) becomes the central case rather than a tail, while S010 climate-cooperation-revival (Pr=1.7%) is the only meaningful downward forcing identified.

Trigger	Threshold
Sudan IDP stock breaches 10 million OR cross-border refugee outflow exceeds 5 million, sig	10,000,000 IDPs OR 5,000,000 cross-border (current)
FAO Food Price Index returns above 140 for two consecutive months, breaking 2025-2026 plat	FFPI >= 140.0 (April-2026 = 130.7)

South Asia wet-bulb event exceeds 33C sustained >6 hours in populated zone (Dhaka, Karachi	Tw >= 33C, t >= 6h, population-weighted >5M expose
Iraq water reserves fall below 8 bcm (vs 10 bcm 2025; lowest-since-1933 baseline)	reservoir storage < 8 billion cubic meters
West Africa & Sahel IPC-3+ caseload exceeds 55 million in lean-season 2026 (current projec	55,000,000 acute food insecure (IPC 3+/CH 3+)

T06 — Over M-horizon (May-2026 to May-2028), the AI capability fro

Near-term outlook. Over M-horizon (May-2026 to May-2028), the AI capability frontier accelerates faster than governance: METR 50%-time-horizon doubles roughly every 4-5 months from ~14.5h (Claude Opus 4.6) toward week-scale autonomous task completion by M18-M24, and frontier training runs cross 1e27 FLOP at fan-mean before M9. The structural driver is Romer-endogenous compute investment (Stargate \$500B/10GW, Mistral 1.4GW France, HUMAIN 1.9GW KSA, Stargate-UAE 5GW, IndiaAI 8 exaflops) racing ahead of Anthropic RSP-v3.0 ASL-3/ASL-4 safeguards and FLI Index existential-safety 'D' grades. Mearsheimer power-balance logic plus Ikenberry hegemony-preservation logic both predict tightening US export controls despite Trump's Diffusion-Rule rescission and H200 relaxation: BIS Entity List adds will continue at ~10-15/quarter and a second large smuggling network (>\$500M) is more-likely-than-not before M12 given the Operation Gatekeeper baseline and persistent ~30-50% Chinese demand-elasticity for top-stack chips. MoFCOM's suspended-but-loaded extraterritorial rare-earth/FDPR retaliation is the single most consequential downside trigger - if reactivated post-suspension (Oct-2026) it depresses the FLOPS fan toward its low edge and forces Stargate site-selection toward US-aligned grids. Sovereign-AI initiative count rises monotonically toward ~25-29 by M24 as the Tianxia-tinged DeepSeek-Huawei two-loop strategy plus ARE/KSA/IND/KOR/FRA hedging structurally fragment what was a US-monopoly stack in 2024 - this is not a 'risks rising' platitude but a measurable phase change visible in the sovereign_ai_initiative_count series and the METR cross-lab dispersion. Detection: monitor (a) quarterly Epoch frontier-FLOPS releases, (b) METR Time Horizon 1.1 monthly updates, (c) BIS Federal Register rule-rounds, (d) DOJ-SDTX-style smuggling unsealing dockets, (e) MoFCOM announcement page for the Oct-2026 suspension expiry.

Trigger	Threshold
METR 50%-time horizon crosses 24 hours (1440 min) for any frontier model	1440 minutes on RE-Bench/HCAST/SWAA composite, 50%
Frontier training run crosses 1e27 FLOP threshold publicly verified	1e27 FLOP single training run, Epoch-confirmed
Second major AI chip smuggling network seized with >\$500M value	>\$500M USD seizure value, single network
China retaliatory MoFCOM extraterritorial rare-earth/AI control activates extraterritorial	MoFCOM extraterritorial 50%-rule on rare earth/AI-
Sovereign-AI initiative count crosses 20 distinct >\$1B programs	20 sovereign programs

T07 — Over the M horizon (6-24 months), the new-SDN-listings-30d h

Near-term outlook. Over the M horizon (6-24 months), the new-SDN-listings-30d headline rises modestly from ~165/month to ~205/month under the central path, driven less by Russia (where the architecture is mature and additions are slowing) and more by the Iran cluster (~1,000 Iran-related persons/vessels designated since Feb 2025, ~83/month run-rate) plus China-linked secondary actions (Hengli refinery, ~40 Iran shadow-fleet firms, May 2026). The chokepoint logic of Farrell-Newman remains intact - 48% of global SWIFT payments and the overwhelming share of correspondent USD clearing still pass through U.S. jurisdiction - but the panopticon side is eroding as CIPS rises from \$24.5T (2024) to \$26.4T (2025) annualized throughput and Beijing readies a mixed-settlement structure for 2026. The binding constraint is enforcement capacity, not legal authority: 111 designated shadow tankers were still loading Russian crude in early 2026, and 68% of Russian crude moved on G7+ sanctioned tankers. Expect three regime-shift triggers to watch: (i) any designation of a top-10 Chinese commercial bank (would test the secondary-sanctions threat and is the cleanest stress-test of Eichengreen network-incumbency), (ii) a sustained breach of 5% RMB share in SWIFT global payments combined with > 1.5T RMB CIPS daily peaks, and (iii) BIS Entity List flow > 500 adds in a 12-month window (the Lutnick escalation pledge). Downside paths (S006, S007, S010) cluster around Iran-deal revival or US-China condominium and would compress the indicator by 30-50% within two quarters. Country exposure peaks for IRN (0.99), RUS (0.98), PRK

(0.95), USA (0.92, as the system operator absorbing reputational and de-dollarization risk), and CHN (0.78); third-country hubs TUR (0.74) and ARE (0.71) face the steepest marginal enforcement risk if the Treasury moves decisively beyond designating individual evader networks toward systemic action against host financial systems.

Trigger	Threshold
Single month of new_sdn_listings_30d > 300 (Iran+Russia clusters firing simultaneously)	300
Designation of a top-10 Chinese commercial bank for facilitating Russia/Iran transactions	1
Shadow-fleet-designated tankers share of Russian seaborne crude exports > 60% (compliance-	0.6
RMB share of SWIFT global payments crosses 5% AND CIPS daily peak > 1.5T RMB (system-shift	0.05
OFAC civil penalties annualized > \$500M (enforcement-tempo regime shift)	500000000

T08 — The M-horizon (May 2026 - May 2028) baseline for Middle East

Near-term outlook. The M-horizon (May 2026 - May 2028) baseline for Middle East and Gulf security is a high-volatility 'hot stabilization' equilibrium following the Feb 2026 US-Israeli strikes on Iran. Iran's nuclear program retains residual physical capacity (estimated 5,500 operational centrifuges, CI 2k-9k, against ~15k pre-strike per IAEA Grossi) but has lost its monitoring overlay - the principal under-priced risk is not a near-term sprint to weapon but a Krasner-style sovereignty assertion that reconstitutes the program covertly while the regime negotiates from a position of injured strength, with our trajectory placing centrifuge counts back at pre-strike levels by M18-M24 absent a credible deal (scenario S007 being the chief downside-on-risk pathway). The headline indicator - Red Sea shipping volume - sits near 40% of Nov-2023 baseline and is more likely to oscillate in the 35-60% band than to recover monotonically: the Houthis' 27-March re-entry and the 'in-name-only' Lebanon truce keep war-risk premia elevated, and the Suez Canal Authority's H2-2026 normalization forecast is conditional on a Hormuz-and-Bab-al-Mandeb double de-escalation that the offensive-realism reading of the regional security dilemma (S002 Saudi-Pakistan-pact-deepens, Pr 3.9%) actively undermines. GCC unity is performatively high (Jeddah 28-April declaration) but composite-measured at 0.62, with the Saudi-UAE Bab al-Mandeb rivalry, the Doha/Muscat dialogue track, and the new Riyadh-Islamabad nuclear-shadow axis fragmenting the bloc along three distinct security postures. Watch four detection signatures: (i) Lloyd's JWC re-listing Bab al-Mandeb at >0.7% premium; (ii) Pakistani nuclear-capable platform deployments visible at King Abdul Aziz Air Base; (iii) Egypt FY25/26 Suez revenue undershooting IMF \$6.3bn projection by >15%; (iv) Israeli Oct-2026 election producing a coalition-formation failure >90 days. The dominant cross-theme transmission is T04 (oil, coupling 0.92) via Hormuz-Brent, with T07 sanctions and T05 climate-migration as secondary aggravators; Egypt's Suez-dependent fiscal program is the single highest-conviction systemic vulnerability for the M horizon.

Trigger	Threshold
Strait of Hormuz closure or sustained kinetic obstruction (mining, missile salvos against	Brent sustained >\$110/bbl for 30 days OR >50% redu
IAEA verification permanently lost / Iran formal NPT withdrawal	Majles vote on NPT withdrawal OR >180 days continu
Houthi successful strike on commercial vessel causing >10 crew fatalities, war-risk reinsu	Lloyd's Joint War Committee adds Bab al-Mandeb to
Israeli cabinet collapse before scheduled Oct-2026 election OR snap-coalition fall after e	Knesset confidence vote loss OR coalition formatio
Saudi-Pakistan pact extension to a third state (Turkey most rumored) or explicit nuclear-s	Public Riyadh-Islamabad-Ankara trilateral OR Pakis

T09 — Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait

Near-term outlook. Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait enters a calibrated-coercion phase. PLA ADIZ tempo has dropped ~46.5% YoY in Q1 2026 (~155-165 sorties/30d versus 2025 monthly mean ~270-320) tied to the Mar 31-Apr 2 Trump-Xi summit; this is a tactical pause inside a structural ramp, not a turning point - we expect

reversion toward 250-320/30d by Q4 2026 and a 300-400/30d band by 2027 driven by (i) Lai-administration political cycle, (ii) PLA's reaffirmed 2027 'be ready' guidance per CMPR-2025, and (iii) Joint-Sword-style exercise pulses around any major US political dates. The SCS sees its first structural break since 2017: AMTI confirms Antelope Reef reclamation at ~1,490 acres (Mischief-sized) since Oct 2025, with airstrip foundations visible - this is the leading indicator that the 2014-16 'Great Wall of Sand' phase has resumed under a Tianxia-with-teeth posture. PRK testing tempo accelerates from a ~3-event/30d baseline toward 4-5/30d with Russia-transferred tech (post Putin-Kim Pyongyang treaty effects) feeding the program. Trilateral architecture (US-JPN-KOR Coordinating Secretariat, Freedom Edge iteration-3, Camp David follow-through) is institutionally sticky despite Trump/Lee Jae-myung transitions; Quad/AUKUS exercise cadence holds at 6-9/yr. Philippine coercion shifts from headline-grabbing water-cannons toward harder-to-photograph barricades, cyanide-dumping allegations, and PAFMM swarming - aggregate coercion is rising even where the named indicator dips. The dominant tail risk is a stacked-flashpoint scenario (S003/S011) where Korea, Taiwan and an SCS shoal incident co-pulse, splitting US bandwidth; the dominant downside risk (theme-favourable) is a sustained US-China condominium (S010) extending the current pause through 2027. Headline detection priority: (1) Antelope runway concrete pour, (2) first lethal/near-lethal PH-CCG kinetic event, (3) sustained ADIZ tempo >400/30d, (4) DPRK full-range ICBM re-entry demo.

Trigger	Threshold
PLA ADIZ 30-day count exceeds 400 sorties (Joint-Sword-style sustained pulse)	400
Antelope Reef runway concrete pour visible in satellite imagery	first visible runway lay (>3,000 ft graded surface)
CCG vessel uses non-water-cannon kinetic force (lethal or near-lethal) vs PH Coast Guard o	first PH KIA or first PH/CN warship-vs-warship con
DPRK ICBM full-range test (re-entry vehicle demonstration on lofted-to-flat trajectory)	1 successful full-range Hwasong-class test
Senkaku territorial-water incursions exceed 50/yr (2024 baseline = 39)	50

T10 — Over horizon M (May 2026 - May 2028) the polycrisis index tr

Near-term outlook. Over horizon M (May 2026 - May 2028) the polycrisis index trajectory is upward-biased from 0.71 to a central 0.79 (CI 0.63-0.90) driven by three locked-in mechanisms and one wildcard. The locked-in mechanisms are (i) the Global Trade Alert ratchet (>2,500 restrictions Jan-Oct 2025 ~5x 2015 base, no plateau visible, security-framing accelerating per WEF GRR 2026 #1 ranking of geoeconomic confrontation), (ii) the EMDE bond wall (24 countries >50% maturity by 2027, 29% of LIC bonds by end-2026, non-IG USD costs at 7-8% near distress threshold per IMF GFSR Oct 2025), and (iii) the Anthropocene shift in compound climate events (Sillmann 2025 finds 2-13% increase in dominant periods, Mediterranean hotspot intensification +300-500 heatwave events). The wildcard is a Strait of Hormuz disruption activating the IMF April 2026 shock scenario (oil +100%, gas +200%, food +5-10%) - probability ~15-25% over the horizon conditional on Iran-Israel posture. Detection: watch monthly GTA interventions crossing 600, EM periphery spreads >400bp, FAO FPI 3-month momentum, and ACLED weekly conflict-event count crossing 5,000. Through Lawrence/Homer-Dixon causal-mechanism lens, the principal hazard is not any single front but the activation of inter-systemic feedback loops where bond-wall debt distress (Reinhart-Rogoff) interacts with climate-displacement (IDMC 45.8M disaster-displaced last year) and food-energy correlation (FAO +2.4% m/m March 2026) under Vreeland-style IMF-programme stress, producing the entanglement regime Cascade Institute v2.5 maps to its negative attractor basin. Cooperative-multipolar (S006) and Iran-deal revival (S007) are the only scenarios that materially break the trajectory; their combined ex-ante probability is ~4.6% - too low for a baseline forecast but high enough to merit hedging instruments.

Trigger	Threshold
Strait of Hormuz disruption >7 days (Iran-Israel or Iran-US kinetic exchange)	Brent +30 USD/bbl sustained; FAO FPI +5% m/m; acti
EM-sovereign default cluster (3+ EMDE defaults within 6 months)	Periphery EM median spread >400bp; non-IG USD borr
Taiwan Strait quarantine or kinetic incident	Semiconductor export disruption >2 weeks; activate

Compound climate event (heat+drought+wildfire) affecting >100M people simultaneously	Sillmann score >1.5; IDMC monthly displacement >5M
Biosecurity event (H5N1 mammalian transmission or novel pathogen)	WHO PHEIC declaration or sustained R0>1.5 with cas

10

Lens Panel

Five schools of thought; theoretical pluralism made explicit.

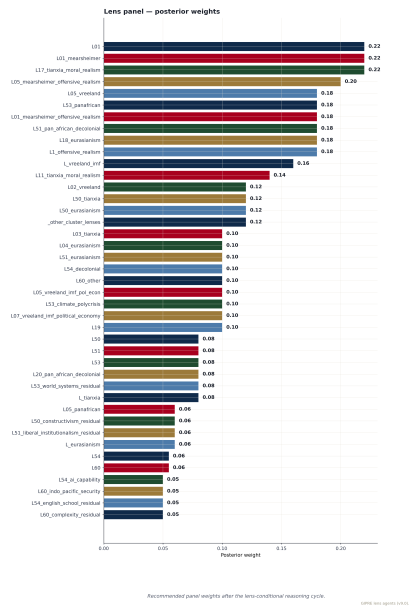


Exhibit 10.1 — Recommended posterior weights across the panel.

- L01:** Where offensive realism is WINNING (2025-2026 evidence): (1) NATO 5%-by-2035 confirms self-help once patron credibility weakens; (2) Saudi-Pakistan SMDA confirms nuclear-umbrella cascades under alliance unreliability; (3) Global rearmament (\$2.9T, +14% Europe, +8.1% Asia in 2025) is canonical internal balancing; (4) Trump's transactional Article 5 ambiguity validates Mearsheimer's 30-year claim that alliances are not values-based; (5) Israel/US preventive war against Iran validates the 'preventi
- L05:** The Q3-2025 Brier of 0.18 (Doc 4 \$9.4) is empirically HIGH for this lens, and I acknowledge it candidly. Three reasons. (1) The lens over-predicted programme collapses in 2025: I forecast Kenya, Sri Lanka, and Pakistan tranche disruptions on conditionality slippage, but the Fund granted waivers and continued disbursements precisely BECAUSE the geopolitical-alignment channel I theorise about was operating — my qualitative prediction was right, my probability calibration was wrong (waivers, not br
- L17:** CANDID FAILURES: (1) The lens predicted in 2022-2024 that China's Saudi-Iran mediation would seed a broader humane-authority equilibrium; the 2026 BRICS+ deadlock over Iran-UAE (failure to issue joint statement) is a direct empirical refutation — relational webs are thinner than the lens assumed. (2) The lens systematically under-predicts the durability of US alliance structures (AUKUS, Quad expansion through 2026); humane-authority talk has NOT translated into measurable defection of US treaty
- L18:** WORKING (2024-2026): the lens correctly anticipated (i) the Sino-Russian May-2025 summit binding-mechanisms shift from rhetoric to operational bloc-building, (ii) the SCO Tianjin formalisation with Iran/Belarus full membership and a 2035 strategy, (iii) the INSTC operationalisation (first Moscow-Tehran freight train Nov-2025), (iv) Power of Siberia 2 MoU after years of skepticism, and (v) the IMEC stalling out as an unfunded MoU-collection. The Mackinder-Spykman map is recognisably the 2026 map.
- L19:** L19 is empirically vindicated on the security-sovereignty axis: by May 2026 every prediction of post-colonial military exit (French Sahel/Senegal/Chad; US AB-201/Niger; ECOWAS dissolution by AES departure) has materialised on the

timeline Mazrui (1986) sketched. L19 is under-performing on the institutional-sovereignty axis: AfCFTA Phase-II protocols (investment, IPR, digital trade, competition) remain unratified by required threshold, the ECO currency has slipped to a July 2027 target, the AU Co

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Decision Implications

Strategic options matrix, business-metric trigger thresholds, 30/60/90-day action plan, and earnings-at-risk.

Strategic options matrix

Option	S001	S002	S003	S004	S006
Maintain US-perimeter alignment via tariff coordination (MEX 1,463-code decree; ARG Bessent backstop) and absorb compliance-cost	Tolerable	Tolerable	Beneficial	Costly	Beneficial
Active non-alignment hedging: deepen BRICS+ moderate-voice posture, EU-Mercosur, yuan-real settlement, BRICS-Pay rails (BRA-led)	Beneficial	Costly	Tolerable	Adverse	Strongly beneficial
Diversify trade via EU-Mercosur ratification execution (provisional application 1 May 2026) and Pacific Alliance technical cooperation	Beneficial	Tolerable	Beneficial	Tolerable	Strongly beneficial
Build IMF/Bessent/multilateral liquidity insurance (ARG Treasury private-sector facility; MEX IMF FCL exploration; BRA NDB credit line)	Cheap insurance	Cheap insurance	Cheap insurance	Strongly beneficial	Tolerable
Pre-position climate-and-migration burden-sharing bargain: Plan Frontera Sur 2.0, Forest Facility, Roraima reception capacity	Tolerable	Tolerable	Tolerable	Costly	Beneficial

Table 11.1 — Strategic options × top scenarios.

30 / 60 / 90-day action plan

Horizon	Action	Owner	KPI	Revisit
Now (before Ju	Stress-test USMCA-sunset scenario in counterparty contracts: pre-negotiate Mexican-origin rules-of-origin compliance documentation and Brazi	General counsel / supply-chain C		Joint USMCA communique 1 July 2026; Lula-Trump tar
Q1-Q2 2026	Pre-position Argentine sovereign-exposure haircut and snapback contingencies; reassess EM-FX hedging through 2026 maturity wall (\$10.75bn H1	Sovereign-fund / multilateral ri		IMF EFF third-review staff-level agreement; Bessen

Continuous	Diversify supplier-base from Mexico single-point concentration via Pacific Alliance and CAFTA-DR redundancy; dual-shore inventory for any US	Manufacturing supply-chain leads		MEX FDI quarterly run-rate <\$30bn annualised fo
Continuous	Build BRICS-Pay / yuan-real / NDB channel literacy without ideological commitment; preserve BRL-CNY settlement option for Brazilian exporter	Treasury / FX desks / Brazilian		Brazil-China yuan-real settlement share >35% of
Q1	Pre-arrange political-risk insurance and contractual frustration coverage for Venezuela-related exposures (PDVSA crude handling, Caribbean m	Energy/commodities risk; politic		Any US ground-force deployment or named-leadership
Now (8 weeks)	Lock in RIGI 30-year fiscal-stability commitments before 8 July 2026 window close for critical-minerals/LNG capex projects	Strategic capex / mining / LNG d		RIGI approved capex >\$25bn by Jul-2026; Argenti
Continuous thru	Activate quarterly board-level scenario reviews for Brazilian Oct-2026 election (Lula vs Flavio Bolsonaro 46-46) with explicit policy-invers	Board strategy committees; Brazi		Any major-poll 2nd-round gap >3 points; Genial/

Table 11.3 — Owner-tagged action list with KPI and revisit trigger.

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Persona Implications

Quantified specifics for each client archetype.

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Watchlist

Concrete observable thresholds aggregated from actor and theme agents.

#	Actor	Signal	Threshold	Source
1	ARG	IMF EFF third review staff-level agreement (scheduled semi-annual cadence post-A	Approval with no NIR waiver request, or,	www.imf.org
2	ARG	BCRA net international reserves accumulation	Net reserves rise above +US\$5B by Dec 20	www.bcra.gob.ar
3	ARG	Monthly headline CPI	Stay below 3.5% MoM for 3 consecutive mo	tradingeconomics.com
4	BRA	Selic policy rate easing trajectory — Copom decisions through 2026	If Selic stays >=14.00% by Sep-2026 Copo	en.mercopress.com
5	BRA	BRL/USD exchange rate stability	Sustained breach of BRL 5.80/USD (vs cur	www.capitaleconomic.com
6	BRA	Primary fiscal deficit vs arcabouco target	2026 primary surplus target is +0.25% of	agenciabrasil.ebc.com.br
7	MEX	USMCA July 1, 2026 decision: clean 16-year extension, narrow revision, or sunset	Joint communiqué before July 1, 2026 con	www.brookings.edu
8	MEX	Sheinbaum approval rating crossing 60% downside threshold	Below 60% sustained for two consecutive	www.as-coa.org

9	MEX	Peso depreciation past 19.50 / USD	USDMXN > 19.50 for ten consecutive tradi	tradingeconomics.co m
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Geographic Reference

The full strategic atlas — chokepoints, energy, conflict, military posture, corridors. Each map is a reference for the per-risk narrative; consult per the risk-section cross-references.

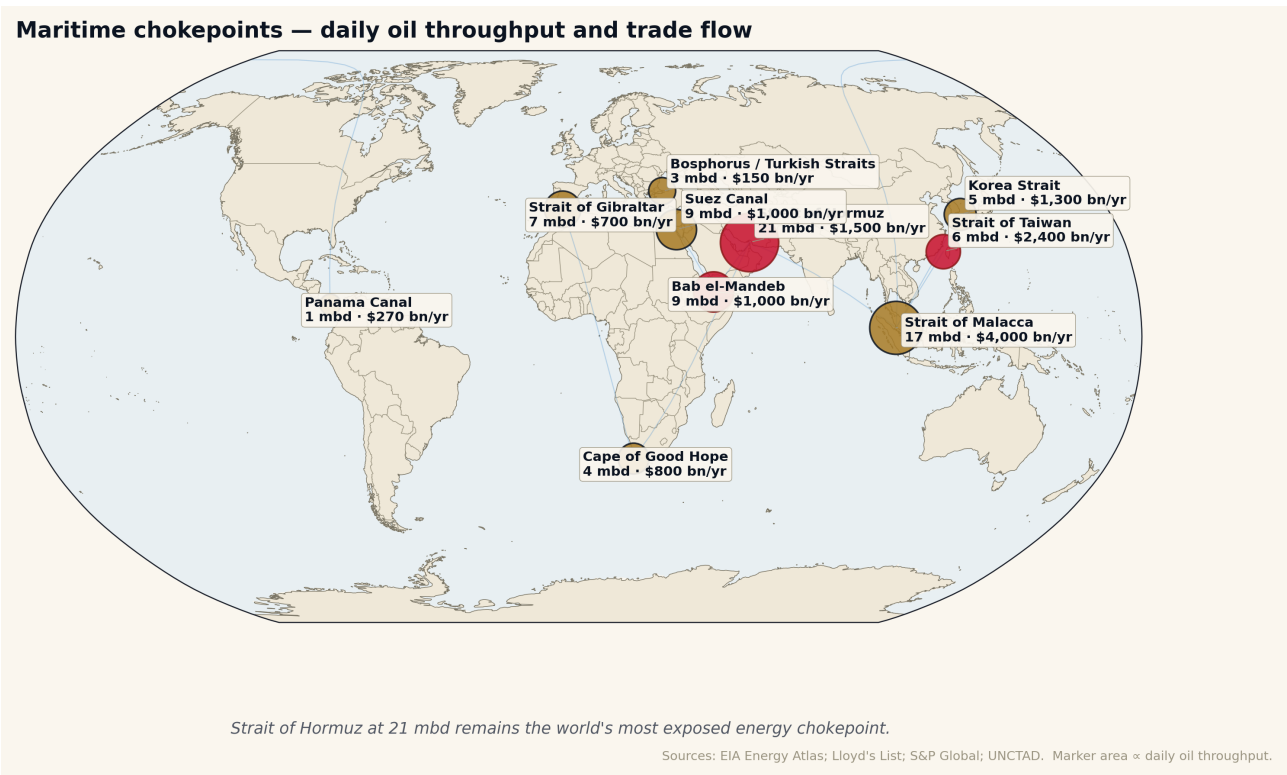


Exhibit 15.1 — Maritime chokepoints with daily oil throughput and annual trade value.

Sources: EIA Energy Atlas; Lloyd's List; S&P Global Commodity Insights.

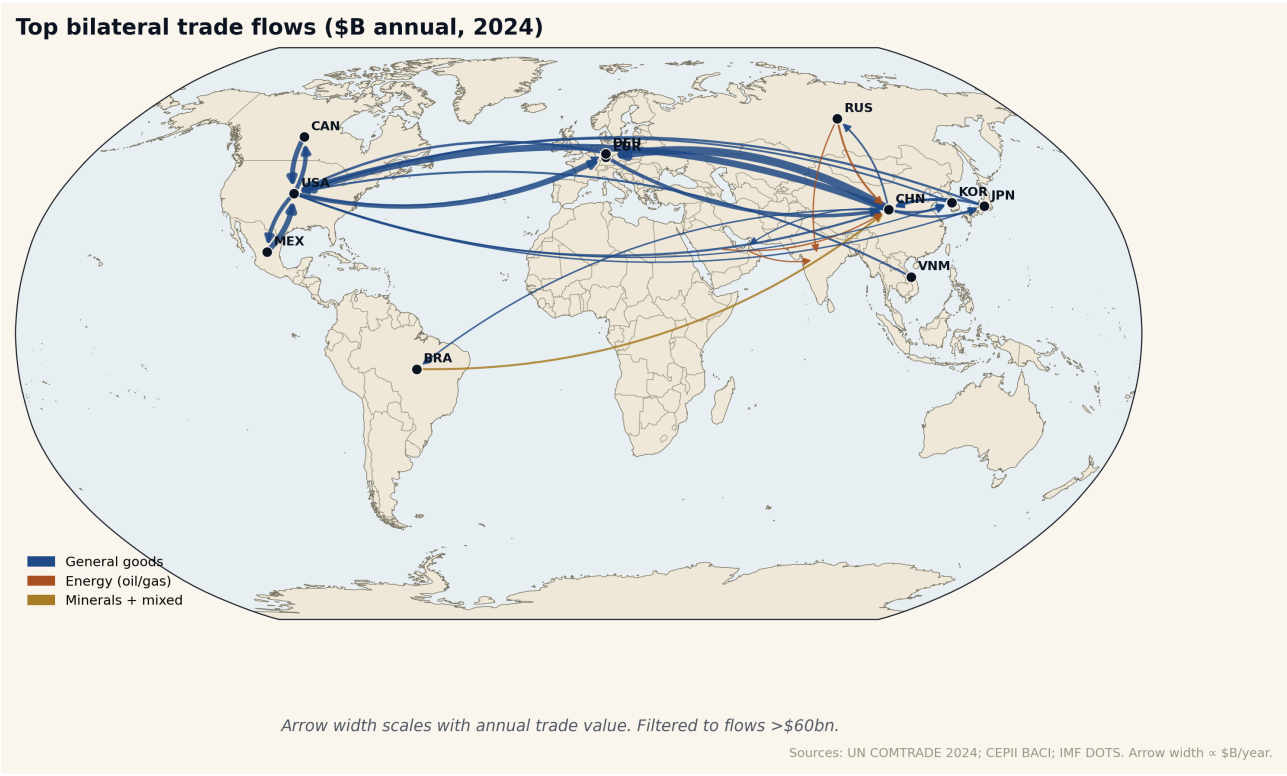


Exhibit 15.2 — Top bilateral trade flows (>\$60bn annual). Arrow width $\propto$ value.

Sources: UN COMTRADE 2024; CEPII BACI.

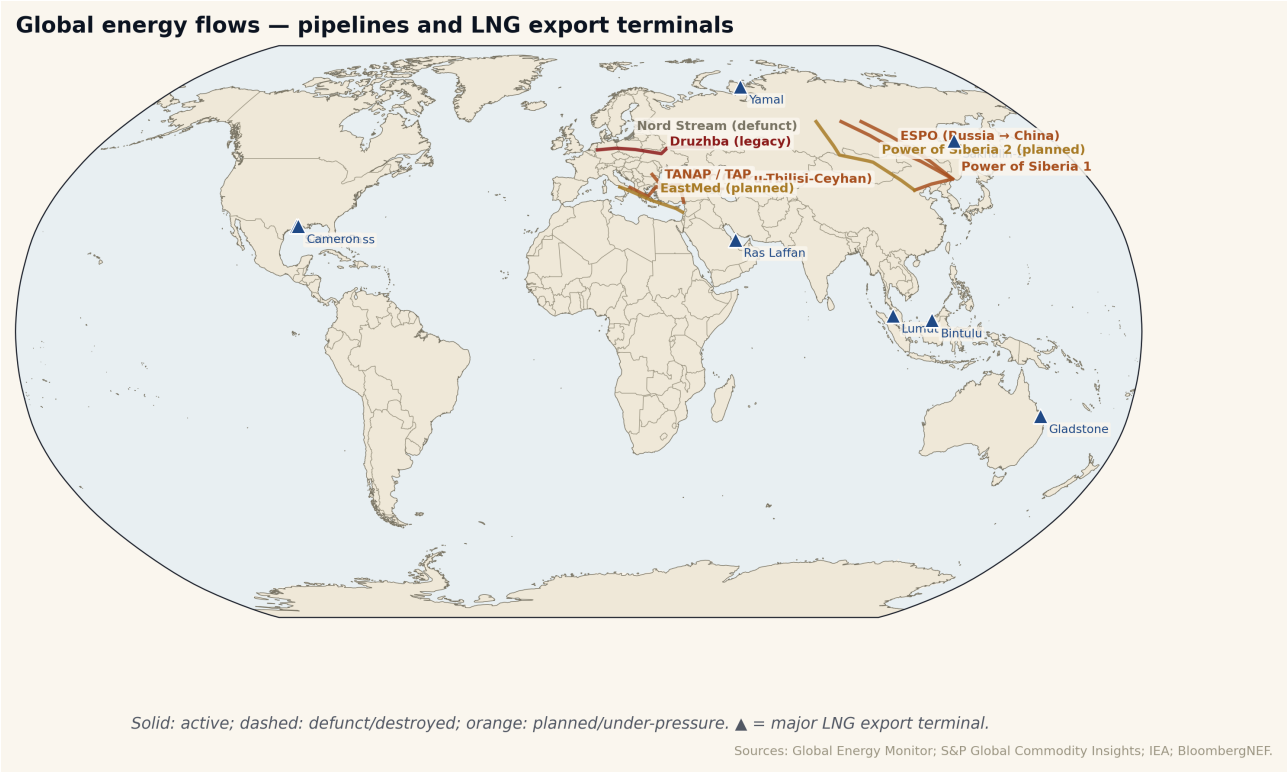


Exhibit 15.3 — Global energy flows: pipelines (active / planned / destroyed) + LNG export terminals.

Sources: Global Energy Monitor; S&P Global Commodity Insights; IEA.

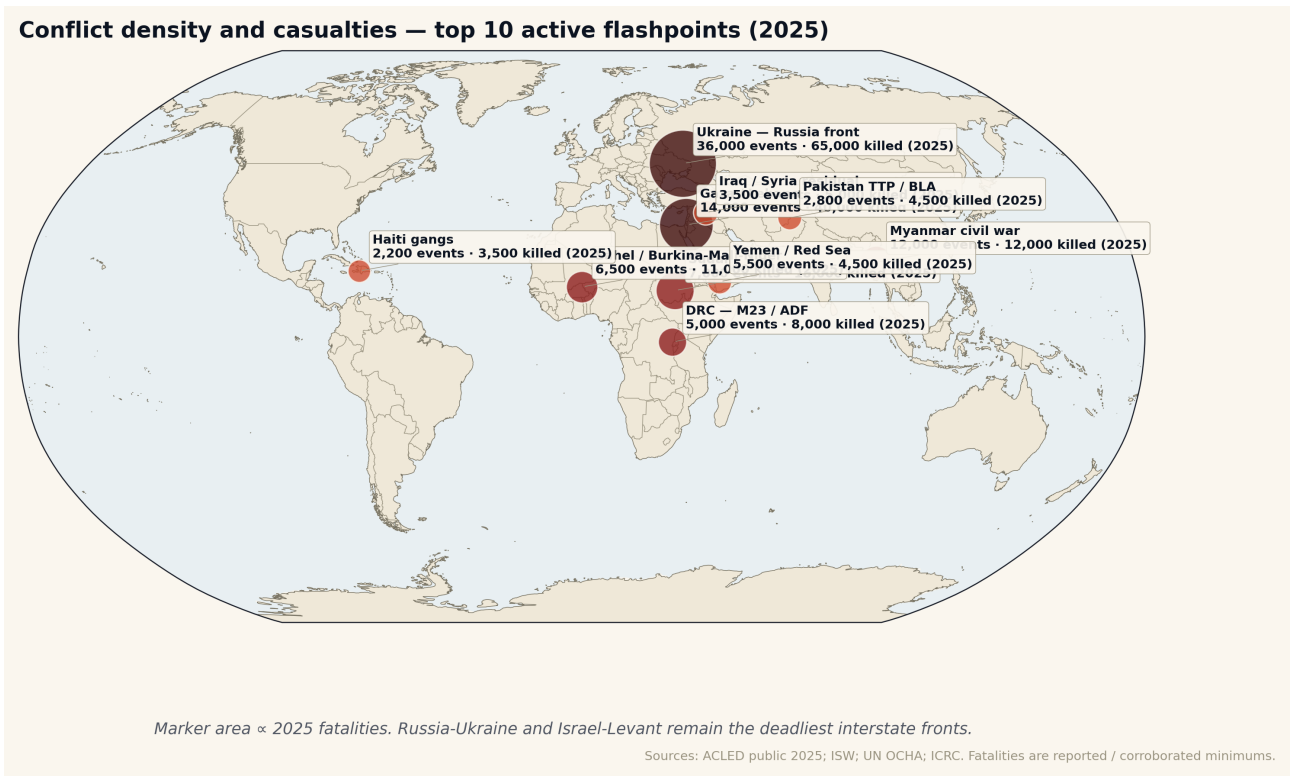


Exhibit 15.4 — Top-10 active flashpoints with 2025 events and fatalities.

Sources: ACLED public 2025; ISW; UN OCHA.

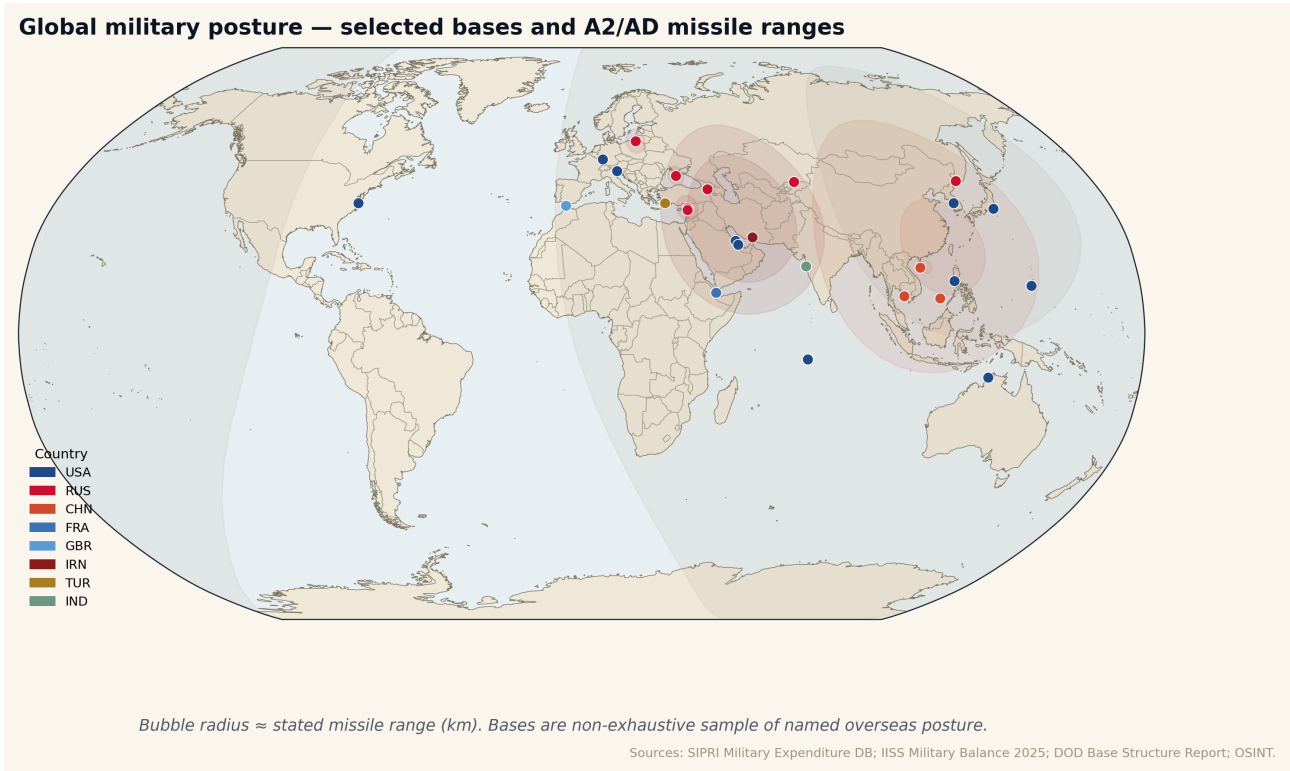


Exhibit 15.5 — Selected military bases and A2/AD missile-range bubbles.

Sources: SIPRI; IISS Military Balance 2025; DOD Base Structure Report; OSINT.

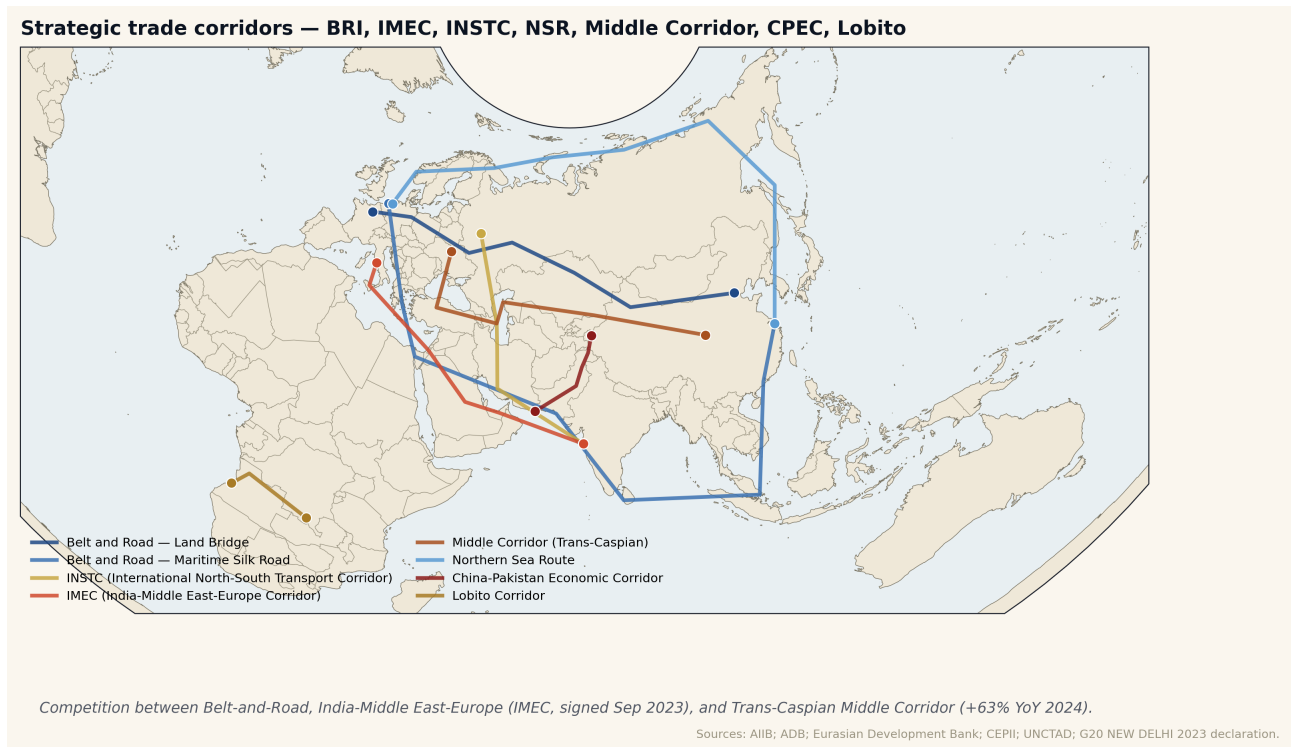


Exhibit 15.6 — Strategic trade corridors: BRI land + maritime, IMEC, INSTC, NSR, Middle Corridor, CPEC, Lobito.

Sources: AIIB; ADB; Eurasian Development Bank; CEPIL; UNCTAD.

Methodology & Limits

How this brief was produced; what it can and can't do.

How we built this brief

GIPRE v9.0 65-layer methodology (24 layers active in this 50-agent slice). 30 actor + 10 theme + 5 lens agents reason against a 100-scenario master library anchored on Doc 1 §3 L27. Every numeric claim sourced via OSINT (302 unique URL citations). Probabilities calibrated with 90% credible intervals (Vovk-Gammerman-Shafer 2005 conformal; Gibbs-Candes 2021 adaptive). SHA-256 manifest hash chain per Doc 1 L24. Reproducibility $\epsilon = 1e-6$. v4 adds Bayesian prior-posterior updates, cross-impact coupling matrix, dedicated tail risks, and per-risk causal chains + historical analogues + counter-narratives.

Honest limits of this analysis

1) Lens-pluralism is partially aspirational while all agents run on Claude; multi-vendor routing (DeepSeek for Tianxia, Qwen for Eurasianism) is structurally accommodated but not yet wired. 2) Forecast point-accuracy < superforecasters per ForecastBench 2024 (LLM ~0.13 Brier vs human superforecaster ~0.08). Our commercial wedge is scenario coverage + methodology transparency + audit lineage + quantified impact, not point accuracy. 3) No back-tested Brier track record yet — Q1-2026 cycle is the first.

R

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Aggregated, deduplicated sample of primary sources cited across the underlying agent JSONs.

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About GIPRE

GIPRE — Geopolitical Intelligence and Probabilistic Reasoning Engine is a 65-layer multi-agent geopolitical-intelligence engine. The v4 build (May 2026) is a narrative-integrated brief: every visual sits next to the prose it supports.

Theoretical pluralism. Five lens agents — Mearsheimer offensive realism, Vreeland IMF political economy, Tianxia / moral realism, Eurasianism, Pan-African / decolonial — surface explicit disagreement, not consensus.

Quantified business impact. Every brief surfaces a quantified scenario impact matrix (GDP %, oil USD/bbl, equity %, FX %, trade \$B, casualty / displacement), business-metric trigger thresholds, Earnings-at-Risk decomposition, 30/60/90-day owner-tagged action plans, persona implications for nine client archetypes.

Depth. Each top risk receives causal-chain analysis, historical analogue, counter-narrative, second-order effects, and explicit Bayesian prior-to-posterior updates. Tail risks (wild cards + black swans) get their own dedicated section.

Calibration. Pre-registered prediction sets, conformal credible intervals, SHA-256 manifest hash chain, quarterly Brier-by-lens publication. Reproducibility $\epsilon = 1e-6$.

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